

LANKA ASHOK LEYLAND PLC
FINANCIAL STATEMENTS
FOR THE YEAR ENDED
31st MARCH 2026



KPMG
(Chartered Accountants)
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INDEPENDENT AUDITOR'S REPORT

TO THE SHAREHOLDERS OF LANKA ASHOK LEYLAND PLC

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of Lanka Ashok Leyland PLC ("the Company"), which comprise the statement of financial position as at 31st March 2026, and the statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including material accounting policies.

In our opinion, the accompanying financial statements give a true and fair view of the financial position of the Company as at 31st March 2026, and of its financial performance and its cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for Opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuSs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the Code of Ethics for professional accountants issued by CA Sri Lanka (Code of Ethics) and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

1. Carrying Value of Inventories

Refer to material accounting policies in Note 3.9 and explanatory note in Note 21 of the financial statements. The Company held inventories which comprised several different vehicles, generators and spare parts with an aggregate carrying value of Rs. 7,497 Mn as at 31st March 2026.

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Ms. S. Joseph FCA
R.M.D.B. Rajapakse FCA
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Ms. P.M.K. Sumanasekara FCA

Principals: S.R.I. Perera FCMA (UK), LLB, Attorney-at-Law, H.S. Goonewardene ACA, Ms. F. R. Ziyad ACA, FCMA (UK), FCIT, K. Somasundaram ACMA (UK), Ms. D Corea Dhamarathne



Risk Description

Changes in economic sentiment or consumer preferences, demands and the introduction of newer models with the latest design and technologies could result in inventories in hand no longer being sought after or being sold at a discount. Estimating the future demand and the related selling prices of vehicles, generators and spare parts are inherently subjective and uncertain because it involves management estimating the extent of markdown of selling prices necessary to sell the older or slow-moving models in the period subsequent to the reporting date. We identified valuation of inventories as a key audit matter because of the significant judgment exercised by management in determining appropriate carrying value in inventories.

Our audit procedures included;

- Obtaining an understanding of and assessing the design, implementation, and operating effectiveness of key controls that management has established to manage inventories including purchases, issuing inventories, and valuation of inventories.
- Evaluating whether the inventory provisions at the end of the reporting period were determined in a manner consistent with the Company's inventory provision policy by recalculating the inventory provisions based on the percentages and other parameters in the Company's inventory provision policy.
- Assessing, on a sample basis, whether items in the inventory ageing report were classified within the appropriate ageing category by comparing individual items with the underlying such as goods receipt notes.
- Inquiring of management about any expected changes in plans for markdowns or disposals of slow moving or obsolete inventories and comparing their representations with actual transactions subsequent to the reporting date and assumptions adopted in determining the inventory provisions.
- Comparing, on a sample basis, the carrying value of inventories with sales prices subsequent to the end of the reporting period.
- Attending inventory counts as at the year end to ensure the existence and condition of the inventories as at the reporting date.

2. Recoverability of Rental and Trade Receivables

Refer to material accounting policies in Note 3.4.1 and explanatory notes in Notes 19 and 22 (Rental receivable from trade debtors & Trade receivables) of the financial statements. The carrying value of Rental receivable from Trade Debtors amounted to Rs. 654 Mn and Trade receivables amounted to Rs. 1,466 Mn as at 31st March 2026.

Risk Description

Assessing the allowance for impairment of Rental and Trade Receivables remains one of the most significant judgments made by management. We identified assessing the recoverability of receivable as a key audit matter because of the significance of rental and receivable to the financial statements as a whole and the assessment of the recoverability of trade receivable is inherently subjective and requires significant management judgment in accordance with SLFRS 09, which increases the risk of error or potential management bias.



Our audit procedures included;

- Obtaining an understanding of and assessing the design and implementation of management's key internal controls relating to credit control, debt collections and making allowances for doubtful debtors.
- Reviewing the appropriateness of the provisioning methodology used by management in determining the impairment allowances against the requirements of SLFRS 09.
- Recomputing management's estimation of the impairment allowance determined based on the expected credit loss method.
- Obtaining an understanding of the key parameters and assumptions of the expected credit loss model adopted by the management, including historical default data and management's estimated loss rates. Assessing the reasonableness of management's loss allowance estimate by examining the information used by management to form such judgments, including testing the accuracy of the historical default data and evaluating whether the historical loss rates are appropriately adjusted based on current economic conditions and forward looking information.
- Evaluating management's assumptions for the expected cashflows and the timing of the expected cashflows in the scenario-based probability weighted impairment assessment of individually significant customers.
- Assessing, on a sample basis, whether items in the debtors ageing report were classified within the appropriate ageing category by comparing individual items in the report with the underlying documentation such as sales invoices.
- Requesting confirmations from major debtors and/or verifying subsequent settlements as an alternative procedure.

Other Information

Management is responsible for the other information. The other information comprises the information included in the Annual Report, but does not include the financial statement and our auditor's report thereon. The annual report is expected to be made available to us after the date of this auditor's report.

Our opinion on the financial statements does not cover the other information and we will not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

When we read the other information in the annual report, if we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance.



Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuSs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.



- Evaluate the overall presentation, structure, and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

As required by section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 2618.

CHARTERED ACCOUNTANTS

Colombo, Sri Lanka

25th May 2026

LANKA ASHOK LEYLAND PLC
STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

For the Year Ended 31st March

	Note	2026 Rs.	2025 Rs.
Revenue	5	19,330,408,115	9,003,641,728
Cost of Sales		(14,106,592,495)	(6,275,205,361)
Gross Profit		5,223,815,620	2,728,436,367
Other Income	6	171,399,512	112,440,441
Selling and Distribution Expenses	7	(147,364,447)	(50,709,478)
Administrative Expenses		(772,454,833)	(598,390,370)
Impairment Reversal of Trade Receivables	8	20,041,119	112,767,891
Other Operating Expenses		(298,723,474)	(186,945,931)
Profit from Operations		4,196,713,497	2,117,598,920
Finance Income	9.1	219,322,766	107,915,625
Finance Cost	9.2	(8,126,330)	(8,910,002)
Net Finance Income	9	211,196,436	99,005,623
Profit Before Tax	10	4,407,909,933	2,216,604,543
Income Tax Expense	11.1	(1,345,476,095)	(685,577,515)
Profit for the Year		3,062,433,838	1,531,027,028
Other Comprehensive Income			
<i>Items that will not be Reclassified to Profit or Loss</i>			
Remeasurement of Defined Benefit Obligation / Asset	27.6	(74,178,227)	(40,972,320)
Deferred Tax on Defined Benefit Obligation / Asset	11.3	22,253,468	12,291,696
Total Other Comprehensive Expense, net of Tax		(51,924,759)	(28,680,624)
Total Comprehensive Income for the Year		3,010,509,079	1,502,346,404
Basic and Diluted Earnings Per Share	12	845.78	422.84
Adjusted Earnings Before Interest, Tax, Depreciation and Amortization (Adjusted EBITDA)	14	4,468,564,472	2,328,890,259

*The Notes annexed form an integral part of these Financial Statements.
Figures in brackets indicate deductions.*

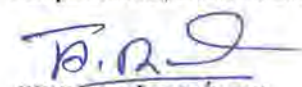
LANKA ASHOK LEYLAND PLC
STATEMENT OF FINANCIAL POSITION

As at 31st March

	Note	2026 Rs.	2025 Rs.
ASSETS			
Non Current Assets			
Property, Plant & Equipment	15	1,900,971,060	1,012,952,181
Right-of-use Asset	16	123,352,139	138,759,214
Intangible Assets	17	10,045,909	368,294
Financial Assets	18	187,897,898	124,196,937
Rental Receivable from Trade Debtors	19.1	270,301,174	112,025,979
Deferred Tax Asset	20	92,791,581	169,924,751
Total Non Current Assets		2,585,359,761	1,558,227,356
Current Assets			
Inventories	21	7,497,028,049	6,752,880,959
Trade and Other Receivables	22	1,841,610,445	1,244,910,157
Rental Receivable from Trade Debtors	19.2	383,255,578	149,734,795
Deposits and Prepayments	23	190,130,476	101,117,946
Cash & Cash Equivalents	24.1	4,183,254,479	617,322,158
Total Current Assets		14,095,279,027	8,865,966,015
Total Assets		16,680,638,788	10,424,193,371
EQUITY & LIABILITIES			
Equity			
Stated Capital	25	49,375,150	49,375,150
General Reserve	26	887,347,500	887,347,500
Retained Earnings		8,040,203,694	5,101,787,401
Equity attributable to Owners of the Company		8,976,926,344	6,038,510,051
Non Current Liabilities			
Defined Benefit Obligation (Net)	27.1	91,888,014	57,361,781
Lease Liability	28.1	36,432,325	48,780,661
Total Non Current Liabilities		128,320,339	106,142,442
Current Liabilities			
Trade and Other Payables	29	3,869,762,091	3,249,813,969
Amount due to Related Party	30	2,606,524,202	408,780,680
Current Tax Liabilities	31	999,018,069	557,409,414
Provision for Warranty	32	14,393,089	17,053,305
Lease Liability	28.1	37,387,800	30,776,000
Bank Overdrafts	24.2	48,306,854	15,707,510
Total Current Liabilities		7,575,392,105	4,279,540,878
Total Liabilities		7,703,712,444	4,385,683,320
Total Equity & Liabilities		16,680,638,788	10,424,193,371
Net Assets per Share		2,479.24	1,667.71

The Notes annexed form an integral part of these Financial Statements.

It is certified that the Financial Statements have been prepared and presented in compliance with the requirements of the Companies Act, No 07 of 2007.

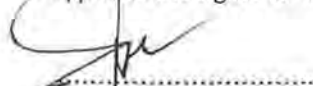


Tharindu Ranaweera
Manager - Finance


U Gauram
Chief Executive Officer

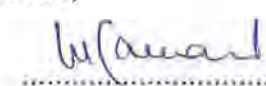
The Board of Directors is responsible for the preparation and presentation of these Financial Statements.

Approved and signed for and on behalf of the Board of Directors of Lanka Ashok Leyland PLC;



A A M Amarasinghe
Chairman

Colombo, 25th May 2026



H M U K Samararatne
Director

LANKA ASHOK LEYLAND PLC
STATEMENT OF CHANGES IN EQUITY

	Stated Capital Rs.	General Reserves Rs.	Retained Earnings Rs.	Total Equity Rs.
Balance as at 01st April 2024	49,375,150	887,347,500	3,652,674,229	4,589,396,879
<i>Total Comprehensive Income</i>				
Profit for the year	-	-	1,531,027,028	1,531,027,028
Other Comprehensive Expense for the year	-	-	(28,680,624)	(28,680,624)
Total Comprehensive Income	-	-	1,502,346,404	1,502,346,404
Transactions with Owners of the Company				
<i>Contribution / Distribution</i>				
Unclaimed Dividend Reversed (Note 13.1)	-	-	1,079,413	1,079,413
Dividend (Note 13.2)	-	-	(54,312,645)	(54,312,645)
Total Transactions with Owners of the Company	-	-	(53,233,232)	(53,233,232)
Balance as at 31st March 2025	49,375,150	887,347,500	5,101,787,401	6,038,510,051
Balance as at 01st April 2025	49,375,150	887,347,500	5,101,787,401	6,038,510,051
<i>Total Comprehensive Income</i>				
Profit for the year	-	-	3,062,433,838	3,062,433,838
Other Comprehensive Expense for the year	-	-	(51,924,759)	(51,924,759)
Total Comprehensive Income	-	-	3,010,509,079	3,010,509,079
Transactions with Owners of the Company				
<i>Contribution / Distribution</i>				
Unclaimed Dividend Reversed (Note 13.1)	-	-	324,074	324,074
Dividend (Note 13.2)	-	-	(72,416,860)	(72,416,860)
Total Transactions with Owners of the Company	-	-	(72,092,786)	(72,092,786)
Balance as at 31st March 2026	49,375,150	887,347,500	8,040,203,694	8,976,926,344

The Notes annexed form an integral part of these Financial Statements.

Figures in brackets indicate deductions.

LANKA ASHOK LEYLAND PLC
STATEMENT OF CASH FLOWS

For the Year Ended 31st March

	Note	2026 Rs.	2025 Rs.
Cash flows from Operating Activities			
Profit Before Tax		4,407,909,933	2,216,604,543
Adjustment For :			
Depreciation of Property, Plant and Equipment	15	232,698,412	187,967,840
Depreciation of Right of Use Assets	16	37,977,569	23,047,468
Amortization of Intangible Assets	17	1,174,994	276,031
Provision for Defined Benefit Plan	27.5	44,568,551	34,567,421
Return on Plan Asset	27.5	(27,630,155)	(20,811,679)
Reversal for Impairment of Trade & Other Receivables	8	(20,041,119)	(112,767,891)
Reversal of Provision for Inventory	21.2	40,417,006	(86,022,809)
Finance Costs	9.2	8,126,330	8,910,002
Interest Income	9.1	(213,889,997)	(106,092,562)
Lease Interest Income	6	(21,575,971)	(38,545,063)
Gain on Disposal of Property, Plant and Equipment	6	(70,893,305)	(20,728,650)
Charge of Provision for Free Service	29.1	8,562,075	9,408,028
Charge of Warranty Provision	32	(2,660,216)	7,280,183
Fair Value Gain on Equity Investments	9.1	(123,745)	(104,729)
Unrealized Foreign Exchange (Gain) / Loss		(43,835,530)	1,842,125
		(27,125,101)	(111,774,285)
Operating Profit before Working Capital Changes		4,380,784,832	2,104,830,258
Working Capital Changes in			
Increase in Inventories		(1,806,192,732)	(2,922,925,006)
Increase in Trade and Other Receivables		(579,089,327)	(1,068,247,616)
(Increase) / Decrease in Amount due from Related Party		(478,126,867)	662,338,503
Increase in Trade and Other Payables		594,637,152	2,247,313,342
Increase / (Decrease) in Amounts due to Related Party		2,241,579,052	(1,246,744,866)
		(27,192,722)	(2,328,265,643)
Cash Generated from / (Used in) Operations		4,353,592,110	(223,435,385)
Interest Paid		(8,126,330)	(8,910,002)
Contribution to Plan Asset	27.3	(56,590,390)	(55,089,826)
Payments / Set off of Income Tax	31	(804,480,802)	(251,656,825)
		(869,197,522)	(315,656,653)
Net Cash Generated from / (Used in) Operating Activities		3,484,394,588	(539,092,038)
Cash flows from Investing Activities			
Interest Received		221,637,269	140,713,267
Investment in Debentures		(50,000,000)	-
Proceeds from Disposals of Property, Plant and Equipment		111,922,800	29,050,000
Acquisition of Property, Plant and Equipment	15.5	(123,045,181)	(144,668,178)
Acquisition of Intangible Assets	17	(10,852,609)	-
Net Cash Flows Generated from Investing Activities		149,662,279	25,095,089
Cash Flows from Financing Activities			
Refundable Deposit for Dehiwala Land		-	(200,000,000)
Capital Repayment of Lease Liability		(28,307,030)	(20,150,357)
Dividend Paid	13.2	(72,416,860)	(54,312,645)
Net Cash Flows Used in Financing Activities		(100,723,890)	(274,463,002)
Net Increase / (Decrease) Cash & Cash Equivalents		3,533,332,977	(788,459,951)
Net Cash & Cash Equivalents at the beginning of the year		601,614,648	1,390,074,599
Net Cash & Cash Equivalents at the end of the year	24	4,134,947,625	601,614,648
Analysis of Cash & Cash Equivalents at the end of the year			
Cash & Cash Equivalents	24.1	4,183,254,479	617,322,158
Bank Overdrafts	24.2	(48,306,854)	(15,707,510)
		4,134,947,625	601,614,648

The Notes annexed form an integral part of these Financial Statements.
Figures in brackets indicate deductions.

1. REPORTING ENTITY

1.1 Domicile & Legal Form

Lanka Ashok Leyland PLC (“the Company”) is a Quoted Public Limited Liability Company incorporated and domiciled in Sri Lanka under the provision of Companies Act, No. 17 of 1982 and re-registered under the New Companies Act, No. 07 of 2007. The registered office of the Company is located at Panagoda, Homagama.

1.2 Principal Activities and Nature of Operations

The Company is involved in import and assemble of Semi-Knocked-Down (SKD) chassis, fabricate bodies, import and marketing of Ashok Leyland buses, trucks, truck chassis, spare parts, power generators and let vehicles on hire. The Company also carries out repairs and restoration of commercial vehicles.

There were no significant changes in the nature of principal activities of the Company during the financial year under review.

The number of employees at the end of the year was 307 (2025 – 274).

1.3 Ultimate Holding Company

The Company was incorporated in 1982 as a joint venture between the Government of Sri Lanka and Ashok Leyland Limited - India. As at the reporting date, 41.77% of the share capital is held by Lanka Leyland (Private) Limited, a fully state-owned entity and 27.85% of the share capital held by Ashok Leyland Limited - India.

1.4 Financial Year

The Company’s financial year ends on 31st March.

2. BASIS OF PREPARATION

2.1 Statement of Compliance

The Financial Statements of the Company have been prepared and presented in accordance with Sri Lanka Accounting Standards (referred “SLFRS/LKAS”), laid down by the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka). These Financial Statements, except for information on cash flows, have been prepared following the accrual basis of accounting.

These SLFRSs and LKASs are available at the website of CA Sri Lanka – www.casrilanka.com.

These Financial Statements include the following components:

- Statement of Profit or Loss and Other Comprehensive Income providing the information on the financial performance of the Company for the year under review.
- Statement of Financial Position providing the information on the financial position of the Company as at the year-end.
- Statement of Changes in Equity depicting all changes in shareholders’ funds during the year under review of the Company.
- Statement of Cash Flows providing the information to the users, on the ability of the Company to generate cash and cash equivalents and utilization of those cash flows.
- Notes to the Financial Statements comprising Accounting Policies and other explanatory information.

2.2 Statement of Presentation

The Financial Statements of the Company have been presented in compliance with the requirements of the Companies Act No. 07 of 2007 and provide appropriate disclosures as required by the Listing Rules of the Colombo Stock Exchange (CSE).

2.3 Responsibility for Financial Statements

The Board of Directors is responsible for the preparation and presentation of the Financial Statements of the Company as per the provisions of the Companies Act, No. 07 of 2007 and Sri Lanka Accounting Standards (SLFRSs/ LKASs).

The Board of Directors acknowledges this responsibility as set out in the Report of the Directors under "Directors' Responsibility for Financial Statements".

2.4 Approval of Financial statements

The Financial Statements of the Company for the year ended 31st March 2026 were approved and authorised for issue by the Board of Directors on 25th May 2026.

2.5 Basis of Measurement

The Financial Statements have been prepared on the historical cost basis and applied consistently with no adjustments being made for inflationary factors affecting the Financial Statements, except for the following material items in the statement of financial position.

Item	Basis of Measurement
Retirement Benefit Obligation	Measured at its present value, based on an actuarial valuation as explained in Note 27. The accounting policy is described in Note 3.11.2.
Equity Instruments	Measured at its fair value in Note 18.1. The accounting policy is described in Note 3.3.2.
Lease Liability and Right-of-use Asset	Measured at its present value of the lease payments. The accounting policy is described in Note 3.15.

2.6 Functional and Presentation Currency

The Company's Financial Statements are presented in Sri Lankan Rupees, which is the Company's functional and presentation currency and no level of rounding have been used in presenting amounts in the Financial Statements, otherwise indicated.

2.7 Materiality and Aggregation

Each material class of similar items is presented separately in the Financial Statements. Items of dissimilar nature or function are presented separately unless they are immaterial as permitted by the Sri Lanka Accounting Standard – LKAS 01 on 'Presentation of Financial Statements' and amendments to the LKAS 1 on 'Disclosure Initiative'.

2.8 Use of Judgments and Estimates

The preparation of the Financial Statements in conformity with LKAS / SLFRS requires management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates. Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognized in the period in which the estimates are revised and in any future periods affected.

2.8.1 Judgements

Information about judgments made in applying accounting policies that have the most significant effects on the amounts recognized in the financial statements is included in the following notes.

Note 3.16 & 5– revenue recognition: whether revenue from contracts with customers are recognized over time or at a point in time.

2.8.2 Assumptions and Estimation Uncertainties

Information about assumptions and estimation uncertainties as at 31st March 2026 that have a significant risk of resulting in a material adjustment to the carrying amounts of assets and liabilities in the next financial year is included in the following notes.

2.8.2.1 Useful Lifetime of Property, Plant and Equipment and Intangible Assets

Note 3.6 / 3.7 & 15 / 17: The Company reviews the residual values, useful lives and methods of depreciation of Property, Plant and Equipment at each reporting date. Judgment of the management is exercised in the estimation of these values, rates, methods and hence they are subject to uncertainty.

2.8.2.2 Deferred Taxation

Note 3.22.2 & 20: Deferred Tax is provided using the liability method on temporary differences between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes at the reporting date. Deferred Tax Liabilities are recognized for taxable temporary differences and for deferred tax assets, availability of future taxable profits against which deductible temporary differences can be utilized is assessed periodically.

2.8.2.3 Defined Benefit Plans

Note 3.11.2 & 27: The cost of the defined benefit obligation is determined using an actuarial valuation. The actuarial valuation involves making assumptions about discount rates, future salary increases, and mortality rates, etc. Due to the long-term nature of this obligation, such estimates are subject to significant uncertainty.

2.8.2.4 Provisions for Obsolete and Slow-Moving Items

Note 3.9 & 21: Management's judgment is used in the estimation of the amount and percentages of slow-moving items when determining the provisions for obsolete and slow-moving items. These estimates are based on assumptions about a number of factors and actual results may differ, resulting in future changes to the provision made.

2.8.2.5 Impairment Losses on Trade Receivables and Rental Receivable from Trade Debtors

Note 3.4, 19 & 22: The Company reviews its individually significant receivables at each reporting date to assess whether an impairment loss should be recorded in the profit or loss. In particular, management's judgment is required in the estimation of the amount and timing of future cash flows when determining the impairment loss. These estimates are based on assumptions about a number of factors and actual results may differ.

If impairment is not required based on the individual assessment all such individually significant balances are then assessed collectively, in groups of assets with similar risk characteristics. The Company measures loss allowances using the Expected Credit Loss (ECL).

When estimating ECL, Company determines whether the credit risk of a financial asset has increased significantly since initial recognition. For this the Company considers reasonable and supportable information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information and analysis, based on the Company's historical experience, informed credit assessment and including forward-looking information.

2.9 Going Concern

The Directors have made an assessment of its ability to continue as a going concern and is satisfied that it has the resources to continue in business for the foreseeable future and do not foresee a need for liquidation or cessation of trading. Furthermore, the Management is not aware of any material uncertainties that may cast significant doubt upon the Company's ability to continue as a going concern. Therefore, the Financial Statements of the Company continue to be prepared on a going concern basis.

3. MATERIAL ACCOUNTING POLICIES

The accounting policies as set out below have been applied consistently to all periods presented in these Financial Statements of the Company unless otherwise indicated.

3.1 Foreign Currency Transactions

Transactions in foreign currencies are translated to the functional currency applying exchange rates prevailing at the dates of the transactions.

Monetary assets and liabilities denominated in foreign currencies are translated at the closing rate of the functional currency prevailing at the reporting date. Foreign currency differences are generally recognised in profit or loss.

Statement of Financial Position

3.2 Current versus non-current Classification

The Company presents Assets and Liabilities in Statement of Financial Position based on current / non-current classification.

An asset as current when it is:

- Expected to be realized or intended to sell or consume in normal operating cycle
- Held primarily for the purpose of trading
- Expected to be realized within twelve months after the reporting period, or
- Cash or cash equivalent unless restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period

All other assets are classified as non-current.

A liability is current when:

- It is expected to be settled in normal operating cycle
- It is held primarily for the purpose of trading
- It is due to be settled within twelve months after the reporting period, or
- It does not have an unconditional right to defer the settlement of the liability for at least twelve months after the reporting period

The Company classifies all other liabilities as non-current. Employee Benefit and Lease Liability not payable within 12 months are classified as non-current liabilities.

3.3 Financial Instruments

3.3.1 Recognition and Initial Measurement

A financial instrument is any contract that gives rise to a financial asset of one entity and financial liability or equity instrument of another entity.

Trade receivables are initially recognised when they are originated. All other financial assets and financial liabilities are initially recognised when the Company becomes a party to the contractual provisions of the instrument.

A financial asset (unless it is a trade receivable without a significant financing component) or financial liability is initially measured at fair value plus, for an item not at FVTPL, transaction costs that are directly attributable to its acquisition or issue. A trade receivable without a significant financing component is initially measured at the transaction price.

3.3.2 Classification and Subsequent Measurement

On initial recognition, financial assets are classified as Amortised Cost, FVOCI – Debt Investment, FVOCI – Equity Investment or FVTPL.

Financial assets are not reclassified subsequent to their initial recognition unless the Company changes its business model for managing financial assets, in which case all affected financial assets are reclassified on the first day of the first reporting period following the change in the business model.

A financial asset is measured at amortised cost if it meets both of the following conditions and is not designated as at FVTPL:

- it is held within a business model whose objective is to hold assets to collect contractual cash flows; and
- its contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

Financial asset measured at amortised cost comprises trade and other receivables, rental receivable from trade debtors, investment in treasury bills, repo investments, fixed deposits, debentures and refundable security deposit.

On initial recognition of an equity investment that is not held for trading, the Company may irrevocably elect to present subsequent changes in the investment's fair value in OCI. This election is made on an investment-by-investment basis.

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All financial assets not classified as measured at amortised cost or FVOCI as described above are measured at FVTPL. This includes all derivative financial assets. On initial recognition, the Company may irrevocably designate a financial asset that otherwise meets the requirements to be measured at amortised cost or at FVOCI as at FVTPL if doing so eliminates or significantly reduces an accounting mismatch that would otherwise arise.

FVTPL comprises investments in equity shares.

Financial Assets – Business Model Assessment

The Company makes an assessment of the objective of the business model in which a financial asset is held at a portfolio level because this best reflects the way the business is managed and information is provided to management. The information considered includes:

- the stated policies and objectives for the portfolio and the operation of those policies in practice. These include whether management's strategy focuses on earning contractual interest income, maintaining a particular interest rate profile, matching the duration of the financial assets to the duration of any related liabilities or expected cash outflows or realising cash flows through the sale of the assets;
- how the performance of the portfolio is evaluated and reported to the Company's management;
- the risks that affect the performance of the business model (and the financial assets held within that business model) and how those risks are managed;
- how managers of the business are compensated – e.g. whether compensation is based on the fair value of the assets managed or the contractual cash flows collected; and
- the frequency, volume and timing of sales of financial assets in prior periods, the reasons for such sales and expectations about future sales activity.

Transfers of financial assets to third parties in transactions that do not qualify for derecognition are not considered sales for this purpose, consistent with the Company's continuing recognition of the assets.

Financial assets that are held for trading or are managed and whose performance is evaluated on a fair value basis are measured at FVTPL.

Financial Assets – Assessment whether Contractual Cash Flows for Solely Payments of Principal and Interest

For the purposes of this assessment, 'principal' is defined as the fair value of the financial asset on initial recognition. 'Interest' is defined as consideration for the time value of money and for the credit risk associated with the principal amount outstanding during a particular period of time and for other basic lending risks and costs (e.g. liquidity risk and administrative costs), as well as a profit margin.

In assessing whether the contractual cash flows are solely payments of principal and interest, the Company considers the contractual terms of the instrument. This includes assessing whether the financial asset contains a contractual term that could change the timing or amount of contractual cash flows such that it would not meet this condition. In making this assessment, the Company considers:

- contingent events that would change the amount or timing of cash flows;
- terms that may adjust the contractual coupon rate, including variable-rate features;
- prepayment and extension features; and
- terms that limit the Company's claim to cash flows from specified assets (e.g. non-recourse features).

A prepayment feature is consistent with the solely payments of principal and interest criterion if the prepayment amount substantially represents unpaid amounts of principal and interest on the principal amount outstanding, which may include reasonable additional compensation for early termination of the contract. Additionally, for a financial asset acquired at a discount or premium to its contractual par amount, a feature that permits or requires prepayment at an amount that substantially represents the contractual par amount plus accrued (but unpaid) contractual interest (which may also include reasonable additional compensation for early termination) is treated as consistent with this criterion if the fair value of the prepayment feature is insignificant at initial recognition.

Financial Assets – Subsequent Measurement and Gains and Losses

Financial Assets at FVTPL

These assets are subsequently measured at fair value. Net gains and losses, including any interest or dividend income, are recognised in profit or loss.

Financial Assets at Amortised Cost

These assets are subsequently measured at amortised cost using the effective interest method. The amortised cost is reduced by impairment losses. Interest income, foreign exchange gains and losses and impairment are recognised in profit or loss. Any gain or loss on derecognition is recognised in profit or loss.

3.3.3. Reclassification

Financial assets are not reclassified subsequent to their initial recognition, except and only in those rare circumstances when the Company changes its objective of the business model for managing such financial assets.

Financial Liabilities are not reclassified as such reclassifications are not permitted by SLFRS 9.

3.3.4 Derecognition

Financial Assets

The Company derecognises a financial asset when the contractual rights to the cash flows from the financial asset expire, or it transfers the rights to receive the contractual cash flows in a transaction in which substantially all of the risks and rewards of ownership of the financial asset are transferred or in which the Company neither transfers nor retains substantially all of the risks and rewards of ownership and it does not retain control of the financial asset.

The Company enters into transactions whereby it transfers assets recognised in its statement of financial position, but retains either all or substantially all of the risks and rewards of the transferred assets. In these cases, the transferred assets are not derecognised.

Financial Liabilities

The Company derecognises a financial liability when its contractual obligations are discharged or cancelled, or expire. The Company also derecognises a financial liability when its terms are modified and the cash flows of the modified liability are substantially different, in which case a new financial liability based on the modified terms is recognised at fair value.

On derecognition of a financial liability, the difference between the carrying amount extinguished and the consideration paid (including any non-cash assets transferred or liabilities assumed) is recognised in profit or loss.

3.4 Impairment

3.4.1 Non-Derivative Financial Assets

Financial Instruments

The Company recognises loss allowances for ECLs on financial assets measured at amortised cost.

The Company measures loss allowances at an amount equal to lifetime ECLs. Loss allowances for trade receivables are always measured at an amount equal to lifetime ECLs.

When determining whether the credit risk of a financial asset has increased significantly since initial recognition and when estimating ECLs, the Company considers reasonable and supportable information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information and analysis, based on the Company's historical experience and informed credit assessment and including forward-looking information.

The Company assumes that the credit risk on a financial asset has increased significantly if it is more than 180 days past due.

Lifetime ECLs are the ECLs that result from all possible default events over the expected life of a financial instrument.

Measurement of ECLs

ECLs are a probability-weighted estimate of credit losses. Credit losses are measured as the present value of all cash shortfalls. ECLs are discounted at the effective interest rate of the financial asset.

Credit-Impaired Financial Assets

At each reporting date, the Company assesses whether financial assets carried at amortised cost are credit-impaired. A financial asset is 'credit-impaired' when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred.

Evidence that a financial asset is credit-impaired includes the following observable data:

- significant financial difficulty of the debtor;
- a breach of contract such as a default or being more than 365 days past due;
- adverse changes in the payment status of the debtor;
- it is probable that the debtor will enter bankruptcy or other financial reorganisation; or

Presentation of Allowance for ECL in the Statement of Financial Position

Loss allowances for financial assets measured at amortised cost are deducted from the gross carrying amount of the assets.

Financial Assets Measured at Amortized Cost

The Company considers evidence of impairment for financial assets measured at amortized cost (rental and trade receivables) on specific assets, accordingly all individually significant assets are assessed for specific impairment.

The Company considers evidence of impairment for these assets at both an individual asset and a collective level. All individually significant assets are individually assessed for impairment. Those found not to be impaired are then collectively assessed for any impairment that has been incurred but not yet individually identified. Assets that are not individually significant are collectively assessed for impairment.

In assessing collective impairment, the Company uses historical trends of the probability of default, the timing of recoveries and the amount of loss incurred, adjusted for management's judgment as to whether current economic and credit conditions are such that the actual losses are likely to be greater or lesser than suggested by historical trends.

An impairment loss is calculated as the difference between an asset's carrying amount and the present value of the estimated future cash flows discounted at the asset's original effective interest rate. Losses are recognized in profit or loss and reflected in an allowance account. When the Company considers that there are no realistic prospects of recovery of the asset, the relevant amounts are written off. If the amount of impairment loss subsequently decreases and the decrease can be related objectively to an event occurring after the impairment was recognized, then the previously recognized impairment loss is reversed through profit or loss.

3.4.2 Non-Financial Assets

The carrying amounts of the Company's non-financial assets, other than deferred tax and inventories, are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the asset's recoverable amount is estimated. An impairment loss is recognized if the carrying amount of an asset or cash generating unit (CGU) exceeds its recoverable amount. Impairment losses are recognized in the statement of profit or loss.

An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortization, if no impairment loss had been recognized.

3.5 Stated Capital

Ordinary Shares

Ordinary shares are classified as equity. Costs attributable to the issue of ordinary shares are recognized as an expense.

3.6 Property, Plant & Equipment

Property, Plant and Equipment are recognized if it is probable that future economic benefits associated with the asset will flow to the Company and cost of the asset can be measured reliably.

a) Cost

All Property, Plant and Equipment are initially recorded at cost and subsequently stated at historical cost less depreciation and any impairment losses. Cost includes expenditure that is directly attributable to the acquisition of the asset. The cost of self-constructed assets includes the cost of materials and direct labour, any other costs directly attributable to bringing the asset to a working condition for its intended use, and the cost of dismantling and removing the items and restoring the site on which they are located.

Expenditure incurred to replace a component of an item of Property, Plant and Equipment that is accounted for separately, including major inspection and overhaul expenditure, is capitalized. Other subsequent expenditure is capitalized only if it is probable that the future economic benefits embodied in the item of Property, Plant and Equipment will flow to the Company and its cost can be measured reliably. The costs of the day-to-day servicing of Property, Plant and Equipment are recognized in the profit or loss as incurred.

b) Depreciation

Depreciation is calculated to systematically reduce the cost of items of Property, Plant and Equipment less their estimated residual values using the straight-line method over their estimated useful lives, and is generally recognized in profit or loss.

The Company provides depreciation from the date the assets are available for use whereas depreciation of asset ceases at the earlier of the date that the asset is classified as held for sale and the date that the asset is derecognized, at the following rates on a straight line basis over the periods appropriate to the estimated useful lives of the different types of assets.

Freehold Factory & Building	2.5%
Machinery & Equipment	5%
Factory Equipment	5%
Data Processing Equipment	25%
Office Equipment	10%
Furniture & Fittings	10%
Motor Vehicles	20%
Plant & Machinery and Equipment - Assy Line	20%
Tools and Equipment – Factory	25%
Leasehold Improvements	20%
<i>Freehold land is not depreciated.</i>	

All assets carrying amounts are written down immediately to its recoverable amount if the asset's carrying amount is greater than its estimated recoverable amount.

Depreciation methods, useful lives and residual values are reviewed at each reporting date and adjusted if appropriate.

c) Derecognition

An item of Property, Plant and Equipment is derecognized upon disposal or when no future economic benefits are expected from its use. Gains and losses on disposal of an item of property, plant and equipment are determined by comparing the proceeds from disposal with the carrying amount of property, plant and equipment, and are recognized net within other income in profit or loss.

d) Capital Work-In-Progress

Capital expenses incurred during the year which are not completed as at the reporting date are shown as Capital Work-In-Progress, whilst the capital assets which have been completed during the year and put to use have been transferred to Property, Plant & Equipment.

3.7 Intangible Assets

a) Cost

Intangible assets wholly consists of cost of computer software acquired by the Company and have finite useful life. Intangible assets are measured at cost less accumulated amortization and impairment losses.

b) Subsequent Expenditure

Subsequent expenditure on capitalized intangible assets is capitalized only when it increases the future economic benefits embodied in the specific asset to which it relates. All other expenditure is expensed as incurred.

c) Amortization

Intangible assets are amortized on a straight-line basis in the profit or loss from the date when the assets available for use, over the best estimate of its useful economic life. The estimated useful life of software is four years.

3.8 Capital Commitments

Capital commitments of the Company are disclosed in the Note 34 to the Financial Statements.

3.9 Inventories

Inventories are valued at lower of cost and net realizable value, after making due provisions for obsolete and slow-moving items.

Net realizable value is the price at which inventories can be sold in the ordinary course of business less the estimated cost of completion and the estimated cost necessary to make the sale.

Cost includes expenses incurred in acquiring the inventories and bringing them to their existing location and condition.

Work-in-progress refers to jobs remaining incomplete in the workshop and stated at cost. Cost includes all expenditure related directly to specific projects.

The Cost of each category of inventory is determined on the following basis.

- Spare Parts	-	At Weighted Average Cost
- Vehicles	-	At Actual Cost
- Goods in Transit	-	At Estimated Cost

3.10 Goods-in-Transit

Inventory items shipped, but not received by the Company as at the reporting date are treated as goods-in-transit. In such situations, estimates are made for unpaid bills in order to value goods-in-transit.

3.11 Employee Benefits

3.11.1 Short-term Employee Benefits

Short-term employee benefits are expensed as the related service is provided. A liability is recognized for the amount expected to be paid if the Company has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

3.11.2 Defined Benefit Plan- Gratuity

A defined benefit plan is a post-employment benefit plan other than a defined contribution plan.

To cover the Company employees' gratuity liability, maintains a gratuity cash accumulation policy with Life Insurance Corporation (Lanka) Limited. LIC (Lanka) Ltd is in charge of managing the defined benefit plan for Lanka Ashok Leyland staff members. LIC (Lanka) Ltd will give a gratuity to a departing employee on the day of the person's retirement or departure from the company. Gratuity of the employee is guaranteed for the past service of the employee subject to the available fund balance with them as contributed by the Company.

One of the salient features of the policy is that Employees are also covered by a life insurance facility. In the event of a death before retirement, the nominees are entitled to receive the full gratuity, considering the number of years until retirement.

The Defined Benefit Obligation recognized in the statement of financial position represents the present value of the Defined Benefit Obligation as reduced by the fair value of plan assets.

The Company is liable to pay retirement benefits under the Payment of Gratuity Act, No. 12 of 1983. Under the said Act, the liability to an employee arises only on completion of 5 years of continued service.

The liability recognized in the Financial Statements in respect of defined benefit plans is the present value of the defined benefit obligation as at the reporting date. The defined benefit obligation is calculated by a qualified actuary as at the reporting date using the Projected Unit Credit (PUC) method as recommended by LKAS 19 - 'Employee Benefits'.

The Company recognizes all actuarial gains and losses arising from defined benefit plans immediately in other comprehensive income and all expenses related to defined benefit plans in employee benefit expense in profit or loss.

3.11.3 Defined Contribution Plans- Employees Provident Fund & Employees Trust Fund

A defined contribution plan is a post-employment benefit plan under which an entity pays fixed contribution into a separate entity and will have no legal or constructive obligation to pay further amounts.

All the employees who are eligible for Employees' Provident Fund and Employees' Trust Fund are covered by relevant contribution funds in line with the respective statutes. Employer's contribution to the defined contribution plans are recognized as an expense in the profit or loss when incurred.

The Company contributes 12% and 3% of the salary of each employee to the Employees' Provident Fund and Employees' Trust Fund respectively.

3.12 Provisions

A provision is recognized if, as a result of a past event, the Company has a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefits will be required to settle the obligation.

3.13 Warranties

A provision for warranties is recognized when the underlying products or services are sold. The provision is based on historical warranty data and a weighing of all possible outcomes against their associated probabilities.

3.14 Contingent Liabilities

A contingent liability is a possible obligation that arises from past events whose existence will be confirmed by the occurrence or non-occurrence of one or more uncertain future events beyond the control of the Company or a present obligation that is not recognized because it is not probable that an outflow of resources will be required to settle the obligation.

A contingent liability also arises in extremely rare cases where there is a liability that cannot be recognized because it cannot be measured reliably. The Company does not recognize a contingent liability but discloses its existence in the Financial Statements.

3.15 Leases

At inception of a contract, the Company assesses whether a contract is, or contains, a lease. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. To assess whether a contract conveys the right to control the use of an identified asset, the Company assesses whether:

- the contract involves the use of an identified asset – this may be specified explicitly or implicitly, and should be physically distinct or represent substantially all of the capacity of a physically distinct asset. If the supplier has a substantive substitution right, then the asset is not identified;
- the Company has the right to obtain substantially all of the economic benefits from use of the asset throughout the period of use; and
- the Company has the right to direct the use of the asset. The Company has this right when it has the decision-making rights that are most relevant to changing how and for what purpose the asset is used. In rare cases where the decision about how and for what purpose the asset is used is predetermined, the Company has the right to direct the use of the asset if either: the Company has the right to operate the asset; or
- the Company designed the asset in a way that predetermines how and for what purpose it will be used.

As a Lessee

At inception or on reassessment of a contract that contains a lease component, the Company allocates the consideration in the contract to each lease component on the basis of their relative stand-alone prices. However, for the leases of land and buildings in which it is a lessee, the Company has elected not to separate non-lease components and account for the lease and non-lease components as a single lease component.

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The Company recognises a right-of-use asset and a lease liability at the lease commencement date. The right-of-use asset is initially measured at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made at or before the commencement date, plus any initial direct costs incurred and an estimate of costs to dismantle and remove the underlying asset or to restore the underlying asset or the site on which it is located, less any lease incentives received.

The right-of-use asset is subsequently depreciated using the straight-line method from the commencement date to the earlier of the end of the useful life of the right-of-use asset or the end of the lease term. The estimated useful lives of right-of-use assets are determined on the same basis as those of Property, Plant and Equipment. In addition, the right-of-use asset is periodically reduced by impairment losses, if any, and adjusted for certain remeasurements of the lease liability.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined, the Company's incremental borrowing rate. Generally, the Company uses its incremental borrowing rate as the discount rate.

Lease payments included in the measurement of the lease liability comprise the following:

- fixed payments, including in-substance fixed payments.
- the exercise price under a purchase option that the Company is reasonably certain to exercise, lease payments in an optional renewal period if the Company is reasonably certain to exercise an extension option, and penalties for early termination of a lease unless the Company is reasonably certain not to terminate early.

The lease liability is measured at amortised cost using the effective interest method. It is remeasured when there is a change in future lease payments arising from a change in the Company's assessment of whether it will exercise a purchase, extension or termination option or if there is a revised in-substance fixed lease payment.

When the lease liability is remeasured in this way, a corresponding adjustment is made to the carrying amount of the right-of-use asset, or is recorded in profit or loss if the carrying amount of the right-of-use asset has been reduced to zero.

As a Lessor

When the Company acts as a lessor, it determines at lease inception whether each lease is a finance lease or an operating lease.

To classify each lease, the Company makes an overall assessment of whether the lease transfers substantially all of the risks and rewards incidental to ownership of the underlying asset. If this is the case, then the lease is a finance lease; if not, then it is an operating lease. As part of this assessment, the Company considers certain indicators such as whether the lease is for the major part of the economic life of the asset.

When the Company is an intermediate lessor, it accounts for its interests in the head lease and the sub-lease separately. It assesses the lease classification of a sub-lease with reference to the right-of-use asset arising from the head lease, not with reference to the underlying asset. If a head lease is a short-term lease to which the Company applies the exemption described above, then it classifies the sub-lease as an operating lease. If an arrangement contains lease and non-lease components, then the Company applies SLFRS 15 to allocate the consideration in the contract.

Finance Leases – as a Lessor

As per SLFRS 16, a lease which transfers substantially all the risks and rewards incidental to ownership of an underlying asset is classified as a finance lease. At the commencement date, the Company recognises assets held under finance lease in the SOFP and presents them as a “Rental receivable from Trade Debtors” at an amount equal to the net investment in the lease. Net investment in the lease is arrived by discounting lease payments receivable at the interest rate implicit in the lease, i.e. the rate which causes present value of lease payments to equal to the fair value of the underlying asset and initial direct costs. The Company’s net investment in lease is included in notes to financial statements. The finance income receivable is recognised in “other income” over the periods of the leases so as to achieve a constant rate of return on the net investment in the leases and treated as investing activity in the statement of cash flows.

Statement of Profit or Loss and Other Comprehensive Income

3.16 Revenue

3.16.1 Revenue Streams

The Company’s revenue comprises only the revenue from contracts with customers. Revenue from contract with customers generates primarily from New vehicle sales. The streams of Diesel generator set sales, Repair income, spare part sales, vehicle hiring income and agency commission income are the other sources of income included under revenue from contracts with customers.

3.16.2 Disaggregation of Revenue from Contract with Customers

Revenue from contract with customers is disaggregated by sales by type of counterparty, major products and service lines and timing of revenue recognition under Note 05.

3.16.3 Performance Obligations and Revenue Recognition Policies

Revenue is measured based on the consideration specified in a contract with a customer. The Company recognizes revenue when it transfers control over a good or services to the customer.

The following table provides information about the nature and timing of the satisfaction of performance obligations in contracts with customers, including significant payment terms, and the related revenue recognition policies.

Type of Product / Service	Nature and Timing of Satisfaction of Performance Obligations, Including Significant Payment Terms	Revenue Recognition Policies
Sale of Vehicles with Free Services	The Company provides two free services within two months of the sale, for the vehicles sold and price of these free services is in-built in the selling price. The Company may recognize Revenue from free services when the service is rendered.	The Company allocates a portion of the consideration received to free services. This allocation is based on the relative stand-alone selling prices. The amount allocated to the free services is deferred and is recognized as revenue when the services are rendered.
Spare Parts Sales	The Company sells spare parts through their stalls in several locations. The goods are realized when the goods are transported out, and the invoice is raised afterwards.	Revenue from spare parts sales are recognized at the dispatch point when the Company transfer the control of spare parts to the customer.

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Body Parts Construction	The Company constructs some of the body parts in resalable nature, where it is less customized to the particular customer. The Company also constructs the body parts fully customized to the specifications provided by the customer. The Company has a guaranteed right to payment by the advance or the full payment charged from the customer.	The Company transfers the control of the goods over time. However, the time consumed for construction and sale of body part is insignificant. Therefore, the revenue is recognized at the point of transfer of body parts.
Local Agency Commission	The Company acts as an indent agent for Ashok Leyland – India. LAL receives a commission from its indent principal for arranging the transaction.	The Company act as an agent for Ashok Leyland – India. Therefore, the commission is recognized at the date of bill of lading except for any consideration received on behalf of the principal.
Diesel Generator Set Sales	The Company provides generator sets and installation services to the customers. The price for the installation service is in-built in the price of the generator set.	Revenue from sale of generators are recognized at the point of delivery. Revenue from installation service is also qualified for at a point in time revenue recognition, since there is no significant time gap for installation to be taken place.
Hiring income	Company provides vehicles on hire basis to the customers.	Revenue from hiring is recognized over time due to the fact that the entity identifies the receipts and simultaneous consumption of benefits from the services provided to the customer.

3.17 Sale of Goods under Finance Lease

In accordance with paragraph 73 of SLFRS 16 – “Leases”, the selling profit or loss is recognized in the period of sales in accordance with the policy followed for outright sales. When low rate of interest are quoted, selling profit is restricted to that which would apply if a market rate of interest were charged. Cost incurred in connection with negotiating and arranging the lease is recognized as an expense when the selling profit is recognized.

The finance income over and above the selling profit is recognized over the lease term.

3.18 Gain or Loss on Disposal of Property, Plant and Equipment

Gains and losses on disposal of an item of property, plant & equipment are determined by comparing the net sales proceeds with the carrying amounts of property, plant & equipment and are recognized net within “other income” in Profit or Loss.

3.19 Other Income

All other income is recognized on an accrual basis.

3.20 Expenditure Recognition

Expenses are recognized in the Profit or Loss on the basis of a direct association between the cost incurred and the earnings of specific items of income.

All expenditure incurred in running of the business and in maintaining the Property, Plant and Equipment in a state of efficiency is charged to profit or loss in arriving at the Profit / (Loss) for the year.

Expenditure incurred for the purpose of acquiring, extending or improving assets of permanent nature by means of which to carry on the business or for the purpose of increasing earning capacity of the business has been treated as capital expenditure.

For the purpose of presentation of profit or loss the Directors are of the opinion that “function of expenses method” presents fairly the elements of the enterprise’s performance, and hence such presentation method is adopted.

3.20.1 Borrowing Costs

Borrowing costs are recognized as an expense in the period in which they are incurred, except to the extent where borrowing costs that are directly attributable to the acquisition, construction, or production of a qualifying asset, which takes a substantial period of time to get ready for its intended use or sale, are capitalized as part of the specific asset.

3.21 Finance Income and Finance Costs

Finance income comprises interest income on funds invested, interest income on refundable security deposit and dividend income. Interest income is recognized as it accrues in profit or loss, using the effective interest method. Dividend income is recognized in profit or loss on the date that the Company’s right to receive payment is established, which in the case of quoted securities is normally the ex-dividend date.

Finance costs comprise interest expense on lease liability, interest expense on borrowings, and overdraft interest expenses. Borrowing costs that are not directly attributable to the acquisition, construction or production of a qualifying asset are recognized in profit or loss using the effective interest method. Foreign currency gains and losses on financial assets and financial liabilities are reported on a net basis as either finance income or finance cost depending on whether foreign currency movements are in a net gain or net loss position.

3.22 Income Tax Expense

Income Tax expense comprises current and deferred tax. Current tax and deferred tax is recognized in profit or loss except to the extent that it relates to a business combination, or items recognized directly in equity or in other comprehensive income.

3.22.1 Current Taxation

Current tax is the expected tax payable or receivable on the taxable income or loss for the year, using tax rates enacted or substantively enacted at the reporting date, and any adjustment to tax payable in respect of previous years, also reflecting uncertainty related to income taxes, if any.

The Company is liable to taxation in accordance with the Inland Revenue (Amendment) Act, No. 45 of 2022 and subsequent amendments there to.

3.22.2 Deferred Taxation

Deferred tax is recognized in respect of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes.

The measurement of deferred tax reflects the tax consequences that would follow the manner in which the Company expects, at the end of the reporting period, to recover or settle the carrying amount of its assets and liabilities.

Deferred tax is measured at the tax rates that are expected to be applied to temporary differences when they reverse, using tax rates enacted or substantively enacted at the reporting date.

Deferred tax assets and liabilities are offset if there is a legally enforceable right to offset current tax liabilities and assets, and they relate to taxes levied by the same tax authority on the same taxable entity, but they intend to settle current tax liabilities and assets on a net basis or their tax assets and liabilities will be realized simultaneously.

A deferred tax asset is recognized for deductible temporary differences to the extent that it is probable that future taxable profits will be available against which they can be utilized. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realized, based on the level of future taxable profit forecasts and tax planning strategies.

3.23 Fair Value Measurement

‘Fair value’ is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date in the principal or, in its absence, the most advantageous market to which the Company has access at that date. The fair value of a liability reflects its non-performance risk.

Number of Company’s accounting policies and disclosures require the determination of fair value, for both financial and nonfinancial assets and liabilities. Fair values have been determined for measurement and/or disclosure purposes based on the following methods. Where applicable, further information about the assumptions made in determining fair values is disclosed in the notes specific to that asset or liability.

When measuring the fair value of an asset or a liability, the Company uses market observable data as far as possible. Fair values are categorized into different levels in a fair value hierarchy based on the inputs used in the valuation techniques as follows;

- Level 1 - Quoted prices (unadjusted) in active markets for identical assets and liabilities
- Level 2 - Inputs other than quoted prices included in Level 1 that are observable from the asset or liability either directly (as prices) or indirectly (derived from prices)
- Level 3 - Inputs from the asset or liability that are not based on observable market data (unobservable inputs)

If the inputs used to measure the fair value of an asset or a liability might be categorized in different levels of the fair value hierarchy, then the fair value measurement is categorized in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement.

3.24 Events after the Reporting Period

All material and important events if any which occur after the reporting date have been considered and disclosed in Note 38 to the Financial Statements.

3.25 Cash Flow Statement

The Statement of Cash Flows has been prepared by using the 'Indirect Method' of preparing cash flows in accordance with Sri Lanka Accounting Standard- LKAS 7 on 'Statement of Cash Flows'.

3.26 Cash and Cash Equivalents

Cash and Cash Equivalents comprise of cash at bank, cash in hand and fixed deposits with maturities of three months or less from the acquisition date and are used by the Company in the management of its short-term commitments. Bank overdrafts that are repayable on demand and forming an integral part of the Company's cash management are included as a component of cash and cash equivalents for the purpose of the Statement of Cash Flows.

3.27 Earnings per Share

The Company presents basic and diluted earnings per share (EPS) data for its ordinary shares. Basic EPS is calculated by dividing the profit or loss that is attributable to ordinary shareholders of the Company by the weighted-average number of ordinary shares outstanding during the period.

Diluted EPS is determined by adjusting the profit or loss that is attributable to ordinary shareholders and the weighted-average number of ordinary shares outstanding for the effects of all dilutive potential ordinary shares.

3.28 Dividends on Ordinary Shares

Final dividends on ordinary shares are recognized as a liability and deducted from equity when they are approved by the Company's shareholders.

4. NEW ACCOUNTING STANDARDS ISSUED BUT NOT YET EFFECTIVE AS AT THE REPORTING DATE

A number of new standards are effective for annual periods beginning on or after 1st April 2026 and earlier application is permitted. However, the Company has not early adopted the new or amended standards in preparing these financial statements.

▪ SLFRS 18 Presentation and Disclosure in Financial Statement

SLFRS 18 will replace LKAS 1 Presentation of Financial Statements and applies for annual reporting periods beginning on or after 1st January 2027. The new standard introduces the following key new requirements.

- Entities are required to classify all income and expenses into five categories in the statement of profit or loss, namely the operating, investing, financing, discontinued operations and income tax categories. Entities are also required to present a newly defined operating profit subtotal. Entities' net profit will not change.
- Management-defined performance measures (MPMs) are disclosed in a single note in the financial statements.
- Enhanced guidance is provided on how to group information in the financial statements.

In addition, all entities are required to use the operating profit subtotal as the starting point for the statement of cash flows when presenting operating cash flows under the indirect method.

▪ **Other Accounting Standards**

The following new and amended accounting standards are not expected to have a significant impact on the financial statements.

- Lack of Exchangeability (Amendments to LKAS 21 – The Effects of Changes in Foreign Exchange Rates)
- **General requirements for disclosure of sustainability related financial information (SLFRS S1) and climate related disclosures (SLFRS S2)**

In June 2023 the International Sustainability Standards Board (ISSB) released its first two sustainability disclosure standards, IFRS S1 and IFRS S2. During the year, CA Sri Lanka issued the localised standards based on these IFRSs designated as SLFRS S1 SLFRS S2. These standards will become effective for the Company from 1st April 2026. No financial impact is expected on the Company except for additional disclosures.

LANKA ASHOK LEYLAND PLC
NOTES TO THE FINANCIAL STATEMENTS

<i>For the Year Ended 31st March</i>		2026	2025
		Rs.	Rs.
5	REVENUE		
5.1	Disaggregation of Revenue from Contract with Customers		
5.1.1	Major Products / Service Lines		
	New Vehicle Sales	16,885,410,741	7,194,099,472
	Diesel Generator Set Sales	48,667,797	17,739,492
	Repair Income	327,408,288	325,347,267
	Spare Parts Sales	910,811,654	626,319,530
	Vehicle Hiring Income	1,158,109,635	837,345,789
	Local Agency Commission	-	2,790,178
		<u>19,330,408,115</u>	<u>9,003,641,728</u>
5.1.2	Sales by Type of Counter-party		
	Government Entities	2,415,170,515	1,513,457,965
	Corporates and Institutions	8,806,936,325	5,335,328,792
	Individuals	8,108,301,275	2,154,854,971
		<u>19,330,408,115</u>	<u>9,003,641,728</u>
5.1.3	Revenue by Geographical Markets		
	Domestic Sales	18,824,116,728	8,862,655,199
	Export Sales	506,291,387	140,986,529
		<u>19,330,408,115</u>	<u>9,003,641,728</u>
5.1.4	Timing of Revenue Recognition		
	Products & Services Transferred at a Point in Time	18,172,298,480	8,166,295,939
	Product & Services Transferred Over Time	1,158,109,635	837,345,789
		<u>19,330,408,115</u>	<u>9,003,641,728</u>
5.2	<i>In respect of Commission, Management considers that the following factors indicate the Company acts as an agent;</i>		
	- The Company neither takes title to nor is exposed to inventory risk related to goods, does not have discretion in establishing prices and has no significant responsibility in respect of the goods sold.		
	- The Company receives indent commission for the arrangement of sale of the goods and all the risk related to the transaction is borne by the supplier of the goods.		
<i>For the Year Ended 31st March</i>		2026	2025
		Rs.	Rs.
6	OTHER INCOME		
	Profit on Sale of Property, Plant and Equipment	70,893,305	20,728,650
	Lease Interest Income (Note 19.7)	21,575,971	38,545,063
	Sundry Income (Note 6.1)	78,930,236	53,166,728
		<u>171,399,512</u>	<u>112,440,441</u>
6.1	Sundry income comprises proceeds from scrap sales and registration related income.		
7	SELLING AND DISTRIBUTION EXPENSES		
	Distribution Expenses Comprise of the Followings;		
	Sales Promotions & Delivery Expenses	6,281,743	6,093,539
	Discounts	57,879,742	10,165,742
	Other Selling Expenses	83,202,962	34,450,197
		<u>147,364,447</u>	<u>50,709,478</u>
8	IMPAIRMENT REVERSAL OF TRADE RECEIVABLES		
	Impairment Reversal of Rental Receivable from Trade Receivables (Note 19.3)	64,050	75,522,955
	Impairment Reversal of Trade Receivables (Note 22.2)	19,977,069	37,244,936
		<u>20,041,119</u>	<u>112,767,891</u>

LANKA ASHOK LEYLAND PLC
NOTES TO THE FINANCIAL STATEMENTS

For the Year Ended 31st March

	2026 Rs.	2025 Rs.
9 NET FINANCE INCOME		
9.1 Finance Income		
Interest Income	213,889,997	106,092,562
Net Foreign Exchange Gain	5,309,024	1,718,334
Financial Assets at FVTPL - Net Change in Fair Value Gain	123,745	104,729
	<u>219,322,766</u>	<u>107,915,625</u>
9.2 Finance Cost		
Interest Expense on Short Term Borrowings	-	(154,191)
Interest Expense on Bank Overdrafts	(617,359)	(46,168)
Interest Cost on Lease Liability	(7,508,971)	(8,709,643)
	<u>(8,126,330)</u>	<u>(8,910,002)</u>
NET FINANCE INCOME	<u>211,196,436</u>	<u>99,005,623</u>

10 PROFIT BEFORE TAX

Profit before tax is stated after charging all the expenses / (reversals) including followings;

Directors' Emoluments	16,950,000	14,400,000
Auditors' Remuneration - Audit Services	2,998,000	2,725,000
- Audit Related Services	125,000	205,000
- Non Audit Services	550,000	500,000
Staff Cost (Note 10.1)	784,083,598	512,026,650
Depreciation of Property, Plant and Equipment (Note 15)	232,698,412	187,967,840
Depreciation of Right of Use Asset (Note 16)	37,977,569	23,047,468
Amortization of Intangible Assets (Note 17)	1,174,994	276,031
Reversal of Provision for Slow Moving and Obsolete Stocks (Note 21.2)	(40,417,006)	(86,022,809)
Provision for Free Service (Note 29.1)	8,562,075	9,408,028
Warranty Provision (Note 32)	(2,660,216)	7,280,183
10.1 Staff Cost		
Salaries, Wages and Other Benefits	691,744,853	439,670,002
Defined Contribution Plans - EPF	38,216,155	30,231,382
Defined Contribution Plans - ETF	9,554,039	7,557,845
Defined Benefit Plans (Note 27.2)	44,568,551	34,567,421
	<u>784,083,598</u>	<u>512,026,650</u>

11 INCOME TAX EXPENSE

In accordance with the provisions of the Inland Revenue (Amendment) Act No 45 of 2022, the Company is liable for income tax at the standard rate of 30% on its taxable income. The composition of income tax expense is as follows ;

For the Year Ended 31st March

	2026 Rs.	2025 Rs.
11.1 Amount Recognise in Profit or Loss		
Income Tax on Profits for the year (Note 11.2)	1,243,008,329	612,140,594
Under Provision of Current Tax in Respect of Previous Year	3,081,128	-
Deferred Tax Expense (Note 20)	99,386,638	73,436,921
	<u>1,345,476,095</u>	<u>685,577,515</u>

11.2 Reconciliation of the Accounting Profit and Taxable Profit

Profit Before Tax	4,407,909,933	2,216,604,543
Income from Other Sources and Exempt Income	(415,009,815)	(147,738,873)
Aggregated Expenses Disallowed for Taxation / Assessable Charge	412,819,324	128,895,164
Aggregated Deductible Expenses for Taxation	(500,009,368)	(284,196,429)
Assessable Income from Business	3,905,710,074	1,913,564,405
Assessable Income from Investment	237,651,021	126,904,241
Taxable Income	<u>4,143,361,095</u>	<u>2,040,468,646</u>
Income Tax at 30%	1,243,008,329	612,140,594
Income Tax on Profits for the year	<u>1,243,008,329</u>	<u>612,140,594</u>

LANKA ASHOK LEYLAND PLC
NOTES TO THE FINANCIAL STATEMENTS

For the Year Ended 31st March

11 INCOME TAX EXPENSE (CONTD.)

11.3 Amount Recognized in other Comprehensive Income

Deferred tax on remeasurement of defined benefit liability (Note 20)

2026
Rs.

2025
Rs.

22,253,468

12,291,696

22,253,468

12,291,696

11.4 Effective Tax Rate

Effective Tax Rate Excluding Deferred Tax (Note 11.5)

28.20%

27.62%

Effective Tax Rate Including Deferred Tax (Note 11.5)

30.45%

30.93%

Effective Tax Rate Including Deferred Tax and Over Provision of Current Tax in Respect of Previous years (Note 11.5)

30.52%

30.93%

For the Year Ended 31st March

11.5 Reconciliation of Effective Tax Rate

Profit Before Tax

2026
Rate Rs.

2025
Rate Rs.

4,407,909,933

2,216,604,543

Income Tax Expense at the Average Statutory Income Tax Rate

30.00%

1,322,372,980

30.00%

664,981,363

Exempt Income

-1.21%

(53,207,638)

-0.28%

(6,250,390)

Disallowable Expenses

2.81%

123,845,798

1.74%

38,668,550

Deductible Expenses

-3.40%

(150,002,810)

-3.85%

(85,258,929)

Effective Tax Rate Excluding Deferred Tax

28.20%

1,243,008,329

27.62%

612,140,594

Temporary Differences

2.25%

99,386,638

3.31%

73,436,921

Effective Tax Rate Including Deferred Tax

30.45%

1,342,394,966

30.93%

685,577,515

Over Provision of Current Tax in Respect of Previous years

0.07%

3,081,128

0.00%

-

Effective Tax Rate Including Deferred Tax and Over Provision of Current Tax in Respect of Previous years

30.52%

1,345,476,094

30.93%

685,577,515

12 EARNINGS PER SHARE

12.1 Basic Earnings per Share

Basic Earnings per Share is calculated in accordance with LKAS 33 – Earnings per Share, by dividing the profit for the year attributable to ordinary shareholders of the Company by the weighted average number of ordinary shares outstanding during the year.

The weighted average number of ordinary shares outstanding during the current and comparative periods has been adjusted for any events that have changed the number of shares in issue without a corresponding change in resources (e.g., bonus issues, share splits).

LANKA ASHOK LEYLAND PLC
NOTES TO THE FINANCIAL STATEMENTS

For the Year Ended 31st March

2026

2025

12 EARNINGS PER SHARE (CONTD.)

12.1 Basic Earnings per Share (Contd.)

Profit Attributable to Ordinary Shareholders (Rs.)	3,062,433,838	1,531,027,028
Weighted Average Number of Ordinary Shares	3,620,843	3,620,843
Basic and Diluted Earnings per Share (Rs.)	845.78	422.84

12.2 Diluted Earnings per Share

Diluted Earnings per Share is calculated based on the profit attributable to ordinary shareholders and the weighted average number of ordinary shares, adjusted for the effects of all potential dilutive ordinary shares that were outstanding during the reporting period.

However, the Company had no potentially dilutive ordinary shares outstanding at any time during the current or previous financial year. As such, Diluted Earnings per Share is equal to Basic Earnings per Share.

13 DIVIDEND PER SHARE

In accordance with the provisions of LKAS 10 – Events After the Reporting Period, dividends proposed or declared after the reporting date are not recognized as liabilities in the Financial Statements since they do not meet the criteria of a present obligation as at the end of the reporting period.

For the Year Ended 31st March

2026

2025

Dividend for the Year (Rs.)	108,625,290	72,416,860
Weighted Average Number of Ordinary Shares	3,620,843	3,620,843
Dividend per Share (Rs.)	30.00	20.00

13.1 During the year, an amount of Rs. 324,074/- (2024/25 - Rs. 1,079,413/-) reversed as unclaimed dividend.

13.2 In 2024/25 Company has declared a first and final Dividend amount of Rs. 72,416,860/- was paid during 2025/26 and dividend declared for 2023/24 year amounting to Rs. 54,312,645/- paid during 2024/25.

14 ADJUSTED EARNINGS BEFORE INTEREST, TAX, DEPRECIATION AND AMORTIZATION

The Directors of the Company have presented the performance measure Adjusted EBITDA as they monitor this performance measure at high level and they believe this measure is relevant to an understanding of the Company's financial performance. Adjusted EBITDA is calculated by adjusting profit from continuing operations to exclude the impact of Taxation, Net Finance Costs, Depreciation, Amortization, Impairment Losses / Reversals related Intangible Assets, Property, Plant and Equipment.

Adjusted EBITDA is not a defined performance measure in SLFRS / LKAS. The Company's definition of adjusted EBITDA may not be comparable with similarly titled performance measures and disclosures by other entities.

Reconciliation of Adjusted EBITDA to Profit from Continuing Operations;

For the Year Ended 31st March

	Note	2026 Rs.	2025 Rs.
Profit from Continuing Operations		3,062,433,838	1,531,027,028
Income Tax Expense	11.1	1,345,476,095	685,577,515
Profit before Tax		4,407,909,933	2,216,604,543
Adjustments for:			
- Net Finance Income	9	(211,196,436)	(99,005,623)
- Depreciation of Property, Plant & Equipment	15	232,698,412	187,967,840
- Depreciation of Right-of-use Asset	16	37,977,569	23,047,468
- Amortisation of Intangible Assets	17	1,174,994	276,031
Adjusted EBITDA		4,468,564,472	2,328,890,259

15 PROPERTY, PLANT & EQUIPMENT

	Cost				Accumulated Depreciation			Carrying Value	
	As at 01 st April 2025 Rs.	Additions / Transfers Rs.	Disposals / Transfers Rs.	As at 31 st March 2026 Rs.	As at 01 st April 2025 Rs.	Charge for the year Rs.	On Disposal Rs.	As at 31 st March 2026 Rs.	As at 31 st March 2026 Rs.
<i>For the Year Ended 31st March 2026</i>									
Freehold Land	10,700,810	-	-	10,700,810	-	-	-	-	10,700,810
Freehold Factory & Building	488,131,935	38,204,671	-	526,336,606	93,553,710	12,205,915	-	105,759,625	420,576,981
Data Processing Equipment	88,453,831	1,587,703	-	90,041,534	47,976,291	14,539,254	-	62,515,545	27,525,989
Machinery & Equipment	57,173,860	-	-	57,173,860	22,085,404	2,482,315	-	24,567,719	32,606,141
Factory Equipment	42,071,640	-	-	42,071,640	20,240,715	1,984,279	-	22,224,994	19,846,646
Office Equipment	27,647,386	2,120,584	(3,175,558)	26,592,412	9,917,333	2,199,242	(792,585)	11,323,990	15,268,422
Furniture & Fittings	39,430,684	1,094,538	-	40,525,222	25,669,276	2,075,638	-	27,744,914	12,780,308
Motor Vehicles	1,421,961,778	1,051,426,746	(76,774,976)	2,396,613,548	1,046,766,473	169,968,186	(55,236,075)	1,161,498,584	1,235,114,964
Plant & Machinery and Equipment - Assy Line	118,505,748	4,825,293	-	123,331,041	48,390,299	23,885,731	-	72,276,030	51,055,011
Tools and Equipment - Factory	10,644,444	8,298,428	(42,800)	18,900,072	3,145,890	3,323,281	(8,149)	6,461,022	12,439,050
Leasehold Improvements	-	63,091,309	-	63,091,309	-	34,571	-	34,571	63,056,738
	2,304,722,116	1,170,649,272	(79,993,334)	3,395,378,054	1,317,745,391	232,698,412	(56,036,809)	1,494,406,994	1,900,971,060
Capital Work In Progress - Building	25,975,456	(25,975,456)	-	-	-	-	-	-	-
	2,330,697,572	1,144,673,816	(79,993,334)	3,395,378,054	1,317,745,391	232,698,412	(56,036,809)	1,494,406,994	1,900,971,060
<i>For the Year Ended 31st March 2025</i>									
	As at 01 st April 2024 Rs.	Additions Rs.	Disposals / Transfers Rs.	As at 31 st March 2025 Rs.	As at 01 st April 2024 Rs.	Charge for the year Rs.	On Disposal Rs.	As at 31 st March 2025 Rs.	As at 31 st March 2025 Rs.
Freehold Land	10,700,810	-	-	10,700,810	-	-	-	-	10,700,810
Freehold Factory & Building	438,955,986	49,175,949	-	488,131,935	82,290,191	11,263,519	-	93,553,710	394,578,225
Data Processing Equipment	65,135,798	30,047,204	(6,729,171)	88,453,831	43,124,847	11,580,615	(6,729,171)	47,976,291	40,477,540
Machinery & Equipment	57,173,860	-	-	57,173,860	19,545,079	2,540,325	-	22,085,404	35,088,456
Factory Equipment	42,071,640	-	-	42,071,640	18,243,934	1,996,781	-	20,240,715	21,830,925
Office Equipment	18,613,332	9,034,054	-	27,647,386	8,045,420	1,871,913	-	9,917,333	17,730,053
Furniture & Fittings	39,234,948	195,736	-	39,430,684	23,580,308	2,088,968	-	25,669,276	13,761,408
Motor Vehicles	1,415,369,886	30,808,961	(24,217,069)	1,421,961,778	931,675,501	135,418,047	(20,327,075)	1,046,766,473	375,195,305
Plant & Machinery and Equipment - Assy Line	78,175,869	40,329,879	-	118,505,748	28,958,109	19,432,190	-	48,390,299	70,115,449
Tools and Equipment - Factory	5,470,938	5,173,506	-	10,644,444	1,370,408	1,775,482	-	3,145,890	7,498,554
	2,170,903,067	164,765,289	(30,946,240)	2,304,722,116	1,156,833,797	187,967,840	(27,056,246)	1,317,745,391	986,976,725
Capital Work In Progress - Building	37,263,605	34,637,800	(45,925,949)	25,975,456	-	-	-	-	25,975,456
	2,208,166,672	199,403,089	(76,872,189)	2,330,697,572	1,156,833,797	187,967,840	(27,056,246)	1,317,745,391	1,012,952,181

15 PROPERTY, PLANT & EQUIPMENT (CONTD.)

15.1 Market Value of the Freehold Land & Building

The Company carried out an independent valuation of its Freehold Land and Buildings as at 20th January 2025 for disclosure purposes. The market value of these assets was determined by a professionally qualified independent valuer as follows;

Property	Market Value	Valuation Surveyor	No of Buildings	Land Extent
Freehold Land & Building at Panagoda, Homagama	Rs. 1,649 Mn	Mr. M.A. Ananda Sarath	4	18 acres and 29.20 perches

The valuation has been carried out solely for disclosure and internal management purposes. The carrying amounts of land and buildings in the financial statements are based on historical cost and have not been adjusted to reflect the revalued amounts.

15.2 Security over Assets

As at 31st March 2026, certain items of Property, Plant and Equipment have been pledged as security for banking facilities obtained by the Company. Seylan Bank PLC holds a primary mortgage over the Company's Factory Land, Buildings, with a total carrying value of Rs. 200 Mn.

15.3 Capitalization of Motor Vehicles from Inventory

During the financial year, the Company transferred motor vehicles amounting to Rs. 1,021,628,635/- (2024/25: Rs. 8,808,961/-) from Motor Vehicle Stock to Property, Plant and Equipment. These assets were brought into use for hiring purpose and internal operations, and accordingly capitalized, in line with the recognition criteria set out in LKAS 16 – Property, Plant and Equipment.

15.4 Fully Depreciated Assets in Use

As at the reporting date, Property, Plant and Equipment includes fully depreciated assets that are still in active use by the Company. The gross carrying amount of such assets is Rs. 917,937,526/- (2024/25: Rs. 884,599,775/-). These assets continue to contribute to operations and are retained in the books in compliance with LKAS 16.

15.5 Additions During the Year

During the year ended 31st March 2025, the Company acquired Property, Plant and Equipment to the aggregate value of Rs. 123,045,181/- (2024/25: Rs. 144,668,178/-). These additions were made entirely through cash purchases and relate primarily to investments in buildings, machinery, and other operational assets.

15.6 Impairment of Property, Plant & Equipment

As at 31st March 2026, management has assessed the recoverable amount of Property, Plant and Equipment and concluded that no indicators of impairment exist. Accordingly, no provision has been made for impairment, as there is no evidence of a permanent fall in the value of any class of assets.

15.7 Title Restrictions

There were no restrictions on the title of any Property, Plant and Equipment as at the reporting date. All assets are legally owned and free of encumbrances.

15.8 Capitalized Borrowing Costs

During the year ended 31st March 2026, the Company did not capitalize any borrowing costs to the cost of Property, Plant and Equipment, in accordance with the requirements of LKAS 23 – Borrowing Costs.

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NOTES TO THE FINANCIAL STATEMENTS

<i>As at 31st March</i>	2026	2025
	Rs.	Rs.
16 RIGHT-OF-USE ASSETS		
<i>Cost</i>		
Balance at beginning of the year	231,280,283	86,245,353
Additions	22,570,494	140,894,131
Lease Modification	-	4,140,799
Balance at end of the year	253,850,777	231,280,283
<i>Accumulated Depreciation</i>		
Balance at beginning of the year	92,521,069	69,473,601
Charge for the year	37,977,569	23,047,468
Balance at end of the year	130,498,638	92,521,069
Carrying Value as at 31st March	123,352,139	138,759,214

Additions to right-of-use assets during the year include the recognition of a new lease agreement for the Kandy Outlet.

17 INTANGIBLE ASSETS

<i>As at 31st March</i>	2026	2025
<i>Cost</i>	Rs.	Rs.
Balance at beginning of the year	28,817,321	28,817,321
Additions	10,852,609	-
Balance at end of the year	39,669,930	28,817,321
<i>Accumulated Amortization</i>		
Balance at beginning of the year	28,449,027	28,172,996
Charge for the year	1,174,994	276,031
Balance at end of the year	29,624,021	28,449,027
Carrying Value as at 31st March	10,045,909	368,294

17.1 The Company's intangible assets consist of Enterprise Resource Planning (ERP) software systems, acquired for internal operational use. These assets are accounted for in accordance with LKAS 38 – Intangible Assets, and are recognized at cost, net of accumulated amortization and impairment losses, if any.

17.2 As at 31st March 2026, the Company's intangible assets include fully amortized ERP software systems that are still in use. These assets continue to contribute to operations and remain recorded at gross carrying amount with zero net book value, in line with LKAS 38.

Intangible Assets included fully amortized assets that are still in use having a gross amount of Rs. 27,713,196 as at 31st March 2026 (2024/25 - Rs. 27,713,196).

<i>As at 31st March</i>	2026	2025
	Rs.	Rs.
18 FINANCIAL ASSETS		
Equity Securities - Fair Value Through Profit or Loss (Note 18.1)	360,378	236,633
Refundable Security Deposit (Note 18.2)	137,286,037	123,960,304
Corporate Debt Securities - Amortised Cost (Note 18.3)	50,251,483	-
	187,897,898	124,196,937

LANKA ASHOK LEYLAND PLC
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18 FINANCIAL ASSETS (CONTD.)

As at 31st March

	2026		2025	
	Cost Rs.	Market Value Rs.	Cost Rs.	Market Value Rs.
18.1 Equity Securities - Fair Value Through Profit or Loss				
Diesel & Motor Engineering PLC (257 Ordinary Shares)	7,417	360,378	7,417	236,633
	<u>7,417</u>	<u>360,378</u>	<u>7,417</u>	<u>236,633</u>

18.2 Refundable Security Deposit

The Company recognized a financial asset in respect of the refundable lease deposit made for the use of Land located at Dehiwala over a period of 5 years. In accordance with SLFRS 9 – Financial Instruments, the security deposit was initially measured at its present value and is subsequently measured at amortized cost using the effective interest method.

As At 31st March

	2026		2025	
	Year of Maturity	Carrying Amount Rs.	Year of Maturity	Carrying Amount Rs.
18.3 Corporate Debt Securities - Amortised Cost				
Union Bank of Colombo PLC (500,000 Debentures at Rate of Rs. 100/- each)	2031	50,251,483	-	-
		<u>50,251,483</u>		<u>-</u>

Corporate debt securities are classified at amortised cost. Debentures have an interest rate of 13% and will be matured on 2031.

19 RENTAL RECEIVABLE FROM TRADE DEBTORS

Assets leased to customers which transfers substantially all risks and rewards incidental to ownership of the asset to the lessee, the arrangement is classified as a finance lease. Amounts receivable under finance leases, net of initial rentals received, deferred interest income and provision for impairment loss, are classified as Rental Receivable from Trade Debtors and are presented below;

As at 31st March

	2026 Rs.	2025 Rs.
Balance as at the beginning of the year	310,838,475	551,300,254
Granted during the year	726,584,250	303,981,750
Total Rental Receivable	1,037,422,725	855,282,004
Less : Payment received during the year	(299,080,229)	(544,443,529)
Total Rental Outstanding (Note 19.4)	738,342,496	310,838,475
Less : Deferred Interest Income	(57,048,453)	(21,276,360)
Unearned Rental Income	681,294,043	289,562,115
Less : Provision for Impairment Loss (Note 19.3)	(27,737,291)	(27,801,341)
Balance as at the end of the year	<u>653,556,752</u>	<u>261,760,774</u>
19.1 Receivable after one year		
Total Rental Outstanding	288,567,292	118,395,735
Less : Deferred Interest Income	(18,266,118)	(6,369,756)
Unearned Rental Income	270,301,174	112,025,979
Less : Provision for Impairment Loss	-	-
Balance as at 31st March	<u>270,301,174</u>	<u>112,025,979</u>
19.2 Receivable within one year		
Total Rental Outstanding	449,775,204	192,442,740
Less : Deferred Interest Income	(38,782,335)	(14,906,604)
Unearned Rental Income	410,992,869	177,536,136
Less : Provision for Impairment Loss (Note 19.3)	(27,737,291)	(27,801,341)
Balance as at 31st March	<u>383,255,578</u>	<u>149,734,795</u>
Total	<u>653,556,752</u>	<u>261,760,774</u>

19 RENTAL RECEIVABLE FROM TRADE DEBTORS (CONT.)

19.3 Movement of Impairment Loss

The movement in the allowance for impairment in respect of Rental Receivable from Trade Debtors during the year is as follows;

<i>As at 31st March 2026</i>	Individual Impairment Rs.	Collective Impairment Rs.	Total Impairment Rs.
Balance at the beginning of the year	21,323,099	6,478,242	27,801,341
Impairment Loss / (Reversal) recognized during the year	2,595,380	(2,659,430)	(64,050)
Balance at the end of the year	<u>23,918,479</u>	<u>3,818,812</u>	<u>27,737,291</u>
<i>As at 31st March 2025</i>	Individual Impairment Rs.	Collective Impairment Rs.	Total Impairment Rs.
Balance at the beginning of the year	101,516,646	1,807,650	103,324,296
Impairment Loss / (Reversal) recognized during the year	(80,193,547)	4,670,592	(75,522,955)
Balance at the end of the year	<u>21,323,099</u>	<u>6,478,242</u>	<u>27,801,341</u>

19.4 Rental Receivable from Trade Debtors by types of Counter Party are as follows;

<i>As at 31st March</i>	2026 Rs.	2025 Rs.
Sri Lanka Transport Board (Note 33.1)	9,401,572	9,401,572
Corporate and Other Institutions	243,033,398	287,983,733
Individuals	485,907,526	13,453,170
	<u>738,342,496</u>	<u>310,838,475</u>

19.5 Maturity Analysis of Rentals Receivables from Trade Debtors (Net of Deferred Interest Income and Impairment Provision)

	Less than 06 Months Rs.	06 - 12 Months Rs.	01 - 05 Years Rs.	Total Rs.
Rental Receivables from Trade Debtors As at 31 st March 2026	<u>265,342,677</u>	<u>117,912,901</u>	<u>270,301,174</u>	<u>653,556,752</u>
Rental Receivables from Trade Debtors As at 31 st March 2025	<u>95,391,593</u>	<u>54,343,202</u>	<u>112,025,979</u>	<u>261,760,774</u>

19.6 Remaining Contractual Maturity Analysis of Rental Outstanding from Trade Debtors

<i>As at 31st March</i>	2026 Rs.	2025 Rs.
Within 1 Year	449,775,204	192,442,740
1 - 2 Years	222,165,548	110,372,879
2 - 3 Years	66,401,744	8,022,856
Gross Rental Outstanding from Trade Debtors	<u>738,342,496</u>	<u>310,838,475</u>
Less: Deferred Interest Income	<u>(57,048,453)</u>	<u>(21,276,360)</u>
	<u>681,294,043</u>	<u>289,562,115</u>
Less: Provision for Impairment Loss	<u>(27,737,291)</u>	<u>(27,801,341)</u>
Net Rental Receivable from Trade Debtors	<u>653,556,752</u>	<u>261,760,774</u>

19.7 Amounts Recognised in Profit or Loss

The Profit or Loss include the following amounts in respect of finance lease.

Selling Profit	191,793,573	77,633,945
Lease Interest Income	21,575,971	38,545,063
	<u>213,369,544</u>	<u>116,179,008</u>

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20 DEFERRED TAX ASSETS

As at 31st March

	2026 Rs.	2025 Rs.
Balance at the beginning of the year	169,924,751	231,069,976
Recognised in Profit or Loss (Note 20.2)	(99,386,638)	(73,436,921)
Recognised in Other Comprehensive Income (Note 20.2)	22,253,468	12,291,696
Balance at the end of the Year	<u>92,791,581</u>	<u>169,924,751</u>

20.1 Deferred Tax Assets and Liabilities are attributable to the following;

As at 31st March

	Assets		Liabilities		Net Asset / (Liability)	
	2026 Rs.	2025 Rs.	2026 Rs.	2025 Rs.	2026 Rs.	2025 Rs.
Property, Plant and Equipment	-	-	(146,880,250)	(93,924,700)	(146,880,250)	(93,924,700)
Employee Benefits	27,566,404	17,208,535	-	-	27,566,404	17,208,535
Provision for Inventory	166,880,140	179,005,242	-	-	166,880,140	179,005,242
Provision for Trade and Rental Receivables	51,237,898	57,250,243	-	-	51,237,898	57,250,243
Others (Note 20.4)	26,463,965	29,535,627	(32,476,576)	(19,150,196)	(6,012,611)	10,385,431
Net Deferred Tax Asset / (Liability)	<u>272,148,407</u>	<u>282,999,647</u>	<u>(179,356,826)</u>	<u>(113,074,896)</u>	<u>92,791,581</u>	<u>169,924,751</u>

Deferred tax assets and liabilities are calculated on all taxable and deductible temporary differences arising from differences between accounting bases and tax bases of assets and liabilities.

20.2 Movement in Recognized Deferred Tax Assets and Liabilities

	Balance as at 01 st April 2025 Rs.	Recognised in Profit or Loss Rs.	Recognised in OCI Rs.	Balance as at 31 st March 2026 Rs.
Property, Plant and Equipment	(93,924,700)	(52,955,550)	-	(146,880,250)
Employee Benefits	17,208,535	(11,895,599)	22,253,468	27,566,404
Provision for Inventory	179,005,242	(12,125,102)	-	166,880,140
Provision for Trade and Rental Receivables	57,250,243	(6,012,345)	-	51,237,898
Others (Note 20.4)	10,385,431	(16,398,042)	-	(6,012,611)
Net Deferred Tax Asset	<u>169,924,751</u>	<u>(99,386,638)</u>	<u>22,253,468</u>	<u>92,791,581</u>
	Balance as at 01 st April 2024 Rs.	Recognised in Profit or Loss Rs.	Recognised in OCI Rs.	Balance as at 31 st March 2025 Rs.
Property, Plant and Equipment	(90,431,031)	(3,493,669)	-	(93,924,700)
Employee Benefits	17,317,059	(12,400,220)	12,291,696	17,208,535
Provision for Inventory	204,812,083	(25,806,841)	-	179,005,242
Provision for Trade and Rental Receivables	91,080,610	(33,830,367)	-	57,250,243
Others (Note 20.4)	8,291,255	2,094,176	-	10,385,431
Net Deferred Tax Asset	<u>231,069,976</u>	<u>(73,436,921)</u>	<u>12,291,696</u>	<u>169,924,751</u>

20.3 The deferred tax asset is calculated at the rate of 30% (2025- 30%) for the Company as at 31st March 2026.

20.4 Others comprises deferred tax arising from the right-of-use asset and lease liability, provisions for warranty, and unrealized foreign exchange gains or loss.

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<i>As at 31st March</i>	2026	2025
	Rs.	Rs.
21 INVENTORIES		
Fully Built Vehicle Stock	2,844,999,999	1,486,934,035
Semi-Knock-Down (SKD) Vehicle Stock	1,636,339,092	3,759,138,856
Generators	28,804,127	32,399,601
Cabins / Bodies & Work In Progress	432,342,292	322,056,991
Spare Parts & Consumables	1,857,709,198	1,197,604,458
	<u>6,800,194,708</u>	<u>6,798,133,941</u>
Goods In Transit (Note 21.1)	1,253,100,476	551,431,159
	<u>8,053,295,184</u>	<u>7,349,565,100</u>
Provision for Slow Moving & Obsolete Stocks (Note 21.2)	(556,267,135)	(596,684,141)
	<u><u>7,497,028,049</u></u>	<u><u>6,752,880,959</u></u>

21.1 Goods In Transit

Goods in Transit represents inventory items that have been shipped by the supplier but not yet received by the Company as at the reporting date. These items are recognized in inventory at cost, including freight, insurance, and other directly attributable expenses incurred to bring the inventory to its present location and condition, in accordance with LKAS 2 – Inventories. Title to these goods is typically transferred based on the shipping terms (e.g., FOB, CIF), and the cost is recorded in the financial statements when the Company assumes the significant risks and rewards of ownership.

21.2 Provision for Slow Moving & Obsolete Stocks

Balance at the beginning of the year	596,684,141	682,706,950
Reversal during the year	(40,417,006)	(86,022,809)
Balance at the end of the year	<u>556,267,135</u>	<u>596,684,141</u>

21.3 Pledged Inventory

As at 31st March 2026, inventory has been pledged as collateral against revolving import loan, import loan facilities and overdraft facilities obtained from Seylan Bank PLC, Commercial Bank of Ceylon PLC and State Bank of India. The carrying value of the pledged inventory is included under the relevant inventory categories. The Company continues to retain legal title and the risks and rewards of ownership of these inventories, and there are no restrictions on their use in the ordinary course of business.

<i>As at 31st March</i>	2026	2025
	Rs.	Rs.
22 TRADE AND OTHER RECEIVABLES		
Trade Receivables	875,671,870	373,233,544
Receivables from Related Parties (Note 22.1)	733,068,567	254,941,699
Less: Provision for Impairment Loss (Note 22.2)	(143,055,681)	(163,032,770)
	<u>1,465,684,756</u>	<u>465,142,473</u>
Advances to Staff	2,206,333	4,052,167
Other Receivables (Note 22.3)	373,719,356	775,715,517
	<u><u>1,841,610,445</u></u>	<u><u>1,244,910,157</u></u>

22.1 Receivables from Related Parties

Sri Lanka Transport Board (Note 33.1)	381,157,841	172,938,064
Ashok Leyland Limited - India (Note 33.1)	29,999,164	28,081,100
Other Government Related Entities (Note 33.1)	298,613,249	36,903,735
Bank of Ceylon (Note 33.1)	16,403,415	9,800,000
People's Leasing & Finance PLC (Note 33.1)	6,894,898	4,080,000
Other Government Financial Institutions (Note 33.1)	-	3,138,800
	<u>733,068,567</u>	<u>254,941,699</u>

22 TRADE AND OTHER RECEIVABLES (CONTD.)

22.2 Movement of Impairment Loss

The movement in the allowance for impairment in respect of Trade Receivables during the year is as follows;

<i>As at 31st March 2026</i>	Individual Impairment Rs.	Collective Impairment Rs.	Total Impairment Rs.
Balance at the beginning of the year	132,243,451	30,789,299	163,032,750
Impairment (Reversal) / Charge recognized during the year	(132,243,451)	112,266,382	(19,977,069)
Balance at the end of the year	-	143,055,681	143,055,681

<i>As at 31st March 2025</i>	Individual Impairment Rs.	Collective Impairment Rs.	Total Impairment Rs.
Balance at the beginning of the year	157,423,448	42,854,258	200,277,706
Impairment Reversal recognized during the year	(25,179,997)	(12,064,959)	(37,244,956)
Balance at the end of the year	132,243,451	30,789,299	163,032,750

22.3 Other Receivables

Other Receivables includes an estimated provision for Input VAT amounting to Rs. 266.43 Mn. relating to Semi-Knock-Down (SKD) units imported under the Standard Operating Procedures (SOP) introduced for Automobile Manufacturing / Assembling Industry and Automobile Components Manufacturing Industry of Sri Lanka by Ministry of Industries.

As per the operational process, Input VAT becomes receivable only upon completion of assembly and inspection by Ministry of Industries along with Sri Lanka Customs and VAT paid to the authority. As at the reporting date, the related Input VAT was provisionally estimated and recognized as part of other receivables on remaining unassembled SKD units.

22.4 Information about the company's exposure to credit and Market risks, and impairment losses for trade and other receivables is included in Note 43.

<i>As at 31st March</i>	2026 Rs.	2025 Rs.
23 DEPOSITS AND PREPAYMENTS		
Deposits and Advances	158,054,885	84,138,627
Prepayments	32,075,591	16,979,319
	<u>190,130,476</u>	<u>101,117,946</u>

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24 CASH & CASH EQUIVALENTS

Cash and cash equivalents comprise cash in hand, balances held in current and savings accounts with licensed commercial banks, and short-term highly liquid investments with original maturities of three months or less, which are readily convertible to known amounts of cash and subject to an insignificant risk of changes in value.

These balances are available for use in the Company's day-to-day operations and are recognized at their nominal value in accordance with LKAS 7 – Statement of Cash Flows.

As at 31st March

	2026 Rs.	2025 Rs.
24.1 Favorable Balances		
Short Term Investments (Note 24.3)	3,537,287,079	391,094,370
Cash in Hand	47,399,585	36,456,236
Cash at Banks	598,567,815	189,771,552
Cash & Cash Equivalents in the Statement of Financial Position	4,183,254,479	617,322,158
24.2 Unfavorable Balances		
Bank Overdrafts	(48,306,854)	(15,707,510)
	<u>(48,306,854)</u>	<u>(15,707,510)</u>
Cash & Cash Equivalents in the Statement of Cash Flows	4,134,947,625	601,614,648
24.3 Short Term Investments		
Investment in Fixed Deposits	2,407,287,079	102,364,521
Investment in Repo	1,130,000,000	288,729,849
	<u>3,537,287,079</u>	<u>391,094,370</u>

The company's financial assets held at amortised cost include fixed deposits and repo with average interest rates ranging from 7% to 9.5%.

24.4 Bank Overdraft Facility Details

Bank	Interest Rate (%)	Approved Facility (Rs.)	Security
Seylan Bank PLC	AWPLR +0.75	100,000,000	Land / Building / Inventory
Commercial Bank of Ceylon PLC	AWPLR +0.5	50,000,000	Inventory
Indian Bank	AWPLR +1	50,000,000	-
Bank of Ceylon	AWPLR	1,900,000	Fixed Deposit

24.5 Unutilized Bank Overdraft Facilities

As at 31st March 2026, the Company had access to unutilized bank overdraft facilities totaling Rs. 201.9 Mn (2024/25: Rs. 201.9 Mn), provided by Seylan Bank PLC, Commercial Bank of Ceylon PLC, Indian Bank and Bank of Ceylon. These facilities are available on demand and are subject to review and renewal on an annual basis.

The Company has not drawn on these facilities as at the reporting date.

24.6 Liquidity and Banking Facilities

To ensure liquidity and manage working capital needs, the Company maintains various banking facilities, including overdraft lines and short-term revolving loan facilities with multiple financial institutions.

LANKA ASHOK LEYLAND PLC
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<i>As at 31st March</i>	2026	2025	2026	2025
	No of Shares		Rs.	Rs.
25 STATED CAPITAL				
Ordinary Shares	3,620,843	3,620,843	36,208,430	36,208,430
Share Premium			13,166,720	13,166,720
Stated Capital			<u>49,375,150</u>	<u>49,375,150</u>

25.1 Authorized Share Capital

The Company is authorized to issue 6,000,000 Ordinary Shares with a par value of Rs. 10/- per share.

25.2 Issued and Fully Paid Share Capital

As at 31st March 2026, the issued and fully paid share capital of the Company comprised 3,620,843 Ordinary Shares (2024/25: 3,620,843 Ordinary Shares).

There were no movements in the issued share capital during the year under review.

25.3 Rights, Preferences, and Restrictions of Ordinary Shares

All Ordinary Shares rank equal rights and entitlements with respect to:

- Participation in dividends as and when declared by the Board of Directors,
- Participation in the distribution of residual assets upon winding up,
- Voting rights, with each share carrying **one vote** at meetings of shareholders.

There are no restrictions on the distribution of dividends or the repayment of capital in respect of these shares.

25.4 Share Premium

In the year 1992, the Company issued 329,168 Ordinary Shares by way of a rights issue at a premium of Rs. 40/- per share. The total premium received on this issue has been accounted for under Stated Capital.

<i>As at 31st March</i>	2026	2025
	Rs.	Rs.
26 GENERAL RESERVE		
General Reserve	887,347,500	887,347,500
	<u>887,347,500</u>	<u>887,347,500</u>

26.1 The General Reserve represents amounts appropriated from retained earnings by the Board of Directors for general application within the Company. These reserves are available for distribution at the discretion of the Board, subject to the provisions of the Companies Act No. 07 of 2007.

There were no movements in the General Reserve during the year ended 31st March 2026 (2024/25: Nil).

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As at 31st March

	2026	2025
	Rs.	Rs.
27 DEFINED BENEFIT OBLIGATION (NET)		
Net Defined Benefit Obligation		
Present Value of Defined Benefit Obligation at the end of the year (Note 27.2)	382,053,761	271,481,499
Fair Value of Plan Asset at the end of the year (Note 27.3)	(290,165,747)	(214,119,718)
Amount Recognised in Statement of Financial Position	91,888,014	57,361,781

27.1 Reconciliation of Net Defined Benefit Liability

Net Defined Benefit Liability as at 01 st April	57,361,781	57,723,545
Expenses recognised in Profit or Loss (Note 27.5)	16,938,396	13,755,742
Expenses recognised in Other Comprehensive Income (Note 27.6)	74,178,227	40,972,320
Contribution by Employer	(56,590,390)	(55,089,826)
Net Defined Benefit Liability as at 31 st March	91,888,014	57,361,781

27.2 Movement in the Present Value of Defined Benefit Obligation

The present value of the defined benefit obligation (PVDBO) is actuarially determined using the Projected Unit Credit Method, based on assumptions concerning salary increases, discount rates, retirement age, and staff turnover. The valuation reflects benefits accrued to employees as at the reporting date.

As at 31st March

	2026	2025
	Rs.	Rs.
Balance at the beginning of the year	271,481,499	209,088,686
Expenses recognised in Profit or Loss (Note 27.5)	44,568,551	34,567,421
Actuarial Loss recognised in Other Comprehensive Income (Note 27.6)	70,309,096	38,784,187
Payments during the year	(4,305,385)	(10,958,795)
Balance at the end of the year	382,053,761	271,481,499

27.3 Movement in Plan Asset

Balance at the beginning of the year	214,119,718	151,365,141
Contribution by Employer	56,590,390	55,089,826
Expected Return on Plan Asset (Note 27.5)	27,630,155	20,811,679
Actuarial Loss on Plan Asset (Note 27.6)	(3,869,131)	(2,188,133)
Benefit Paid by the Plan	(4,305,385)	(10,958,795)
Balance at the end of the year	290,165,747	214,119,718

27.4 Plan Asset

Plan Asset comprise the following;

Government Treasury Bonds	200,000,000	200,000,000
Corporate Debt Securities	90,165,747	14,119,718
	290,165,747	214,119,718

The actuarial valuation as at 31st March 2026 was carried out by Messrs. Prime Actuarial Solutions, a firm of professionally qualified actuaries. The net defined benefit obligation recognized in the Statement of Financial Position represents the present value of the defined benefit obligation, net of the fair value of plan assets.

The Company has funded its obligation externally through a Gratuity Plan with Life Insurance Corporation (Lanka) Limited.

Mr. Dinesh Weerakkody and Mr. Umesh Gautam, who serve as Non-Executive Director and Chief Executive Officer, respectively of Lanka Ashok Leyland PLC, also serve as Independent Directors of Life Insurance Corporation (Lanka) Limited. The gratuity fund arrangement between Lanka Ashok Leyland PLC and Life Insurance Corporation (Lanka) Limited has been established on an arm's length basis and under normal commercial terms.

LANKA ASHOK LEYLAND PLC
NOTES TO THE FINANCIAL STATEMENTS

27 DEFINED BENEFIT OBLIGATION (NET) (CONTD.)

For the Year Ended 31st March

	2026 Rs.	2025 Rs.
27.5 Expenses Recognised in Profit or Loss		
Current Service Cost	13,595,738	10,134,306
Interest Cost	30,972,813	24,433,115
Expense Recognised in Profit or Loss	44,568,551	34,567,421
Expected Return on Plan Asset	(27,630,155)	(20,811,679)
Net Expense Recognised in Profit or Loss	16,938,396	13,755,742
27.6 Expenses Recognised in Other Comprehensive Income		
Actuarial Loss on Defined Benefit Obligation	70,309,096	38,784,187
Actuarial Loss on Plan Asset	3,869,131	2,188,133
	74,178,227	40,972,320

27.7 Actuarial Assumptions

The principal actuarial assumptions used in determining the cost are given below;

<i>As at 31st March</i>	2026	2025
Discount Rate	10.75%	11.50%
Expected Annual Average Salary Increment	15.00%	15.00%
Staff Turnover Factor	3.0%	5.0%
Retiring Age	60 Years	60 Years
Mortality Table	LALM (2012-14)	LALM (2012-14)

The valuation of the defined benefit obligation is based on an actuarial assessment which involves the use of key assumptions, including discount rate, future salary increment, and mortality rates. The actuarial assumptions are determined based on the best estimates at the reporting date, taking into account the relevant economic and demographic factors. The discount rate of 10.75% as at 31st March 2026 (2024/25 : 11.5%), was determined with reference to applicable market interest rates on Government securities based on weighted average duration of RBO adjusted for anticipated long-term rate at inflation and other factors where applicable.

All assumptions, including the discount rate, expected future salary increment, and mortality rates, are subject to periodic review and are adjusted as necessary to reflect current economic conditions and expectations. Any changes in these assumptions are incorporated into the actuarial valuation, which is updated at each reporting date.

Demographic assumptions - In addition to the above, demographic assumptions such as mortality, withdrawal and disability, and retirement age were considered for the actuarial valuation. "LALM (2012-14) mortality table" was used to estimate the gratuity liability of the Company.

27.8 Sensitivity Analysis

The determination of the defined benefit obligation is sensitive to changes in the underlying actuarial assumptions, particularly the discount rate and the salary increment rate. The table below presents the sensitivity of the defined benefit obligation to changes in these key assumptions. The sensitivity analysis has been determined based on reasonably possible changes in the respective assumptions at the end of the reporting period.

It is important to note that the sensitivity analysis presented above is based on a static assumption that each variable changes independently. However, in practice, the changes in these assumptions may not occur in isolation, as some of these assumptions may be correlated with each other. Consequently, the actual change in the defined benefit obligation may differ from the results presented here.

The sensitivity analysis presented is calculated using the Projected Unit Credit (PUC) Method, which is the same methodology applied in the calculation of the defined benefit obligation liability recognized in the Statement of Financial Position. The PUC method takes into account the projected future salary increment and the expected benefits payable, thereby providing a comprehensive measure of the defined benefit obligation.

There have been no changes in the methods used in preparing the sensitivity analysis compared to the previous year. The same actuarial valuation methodology, has been applied consistently to ensure comparability of the financial statements over time.

LANKA ASHOK LEYLAND PLC
NOTES TO THE FINANCIAL STATEMENTS

27 DEFINED BENEFIT OBLIGATION (NET) (CONTD.)

27.8 Sensitivity Analysis (Contd.)

As at / For the Year Ended 31st March

	2026		2025	
	PVODBO Rs.	Benefit / (Expense) Rs.	PVODBO Rs.	Benefit / (Expense) Rs.
1% Increase in Discount Rate	357,006,551	25,047,210	253,500,892	17,980,607
1% Decrease in Discount Rate	411,122,013	(29,068,252)	292,225,588	(20,744,089)
1% Increase in Salary Increment Rate	409,706,945	(27,653,184)	291,362,128	(19,880,629)
1% Decrease in Salary Increment Rate	357,671,712	24,382,049	253,869,011	17,612,488

The sensitivity analysis presented above may not be representative of the actual change in the defined benefit obligation as it is unlikely that the change in assumptions would occur in isolation of one another as some of the assumptions may be correlated.

27.9 Maturity Profile of the Defined Benefit Obligation

As at 31st March

	2026 Rs.	2025 Rs.
Expected Future Working Life		
Within the Next Twelve Months	88,572,174	56,108,942
Between One to Five Years	90,811,735	52,394,414
Between Five to Ten Years	101,896,804	81,845,788
More than Ten Years	100,773,048	81,132,355
	<u>382,053,761</u>	<u>271,481,499</u>
 <i>Weighted Average duration of Defined Benefit Obligation</i>	 <u>8.30 Years</u>	 <u>8.42 Years</u>
 <i>Estimated term of Liability in Years</i>	 <u>11.95 Years</u>	 <u>11.83 Years</u>

28 LEASE LIABILITY

The Company's Leasing Activities

The Company occupies lease hold properties to carry out marketing operations and other related administrative activities.

<i>As at 31st March</i>	2026	2025
	Rs.	Rs.
Balance as at beginning of the Year	79,556,661	34,636,142
Additions	22,570,494	60,930,077
Lease Modification	-	4,140,799
Interest Expense Recognised in Profit or Loss	7,508,971	8,709,643
Payment for Lease Liability	(35,816,001)	(28,860,000)
Balance as at end of the Year	<u>73,820,125</u>	<u>79,556,661</u>

28.1 Lease Liabilities included in the Statement of Financial Position

Non-current	36,432,325	48,780,661
Current	37,387,800	30,776,000
	<u>73,820,125</u>	<u>79,556,661</u>

28.2 Amounts recognised in Profit or Loss

<i>For the Year Ended 31st March</i>	2026	2025
	Rs.	Rs.
Interest on Lease Liabilities	(7,508,971)	(8,709,643)
Recognised in Finance Cost	<u>(7,508,971)</u>	<u>(8,709,643)</u>
Expenses Relating to Short-term and low-value Assets	10,500,000	10,500,000
Depreciation - Right-of-use Assets	37,977,569	23,047,468
Recognised in Administrative Expenses	<u>48,477,569</u>	<u>33,547,468</u>
Total Amount recognised in Profit or Loss	<u>40,968,598</u>	<u>24,837,825</u>

28.3 Amounts Recognised in Statement of Cash Flows

Payment for Lease Liabilities	<u>35,816,001</u>	<u>28,860,000</u>
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28.4 Maturity Analysis – Contractual Undiscounted Cash Fows

The following table sets out a maturity analysis of lease payments, showing the undiscounted lease payments to be paid after the reporting date.

	2025/26	2024/25
	Rs.	Rs.
Less than one year	37,387,800	30,776,000
One to five years	45,604,596	60,765,996
Total Undiscounted Lease Liabilities	<u>82,992,396</u>	<u>91,541,996</u>

LANKA ASHOK LEYLAND PLC
NOTES TO THE FINANCIAL STATEMENTS

<i>As at 31st March</i>		2026	2025
		Rs.	Rs.
29	TRADE AND OTHER PAYABLES		
	Trade Payables	1,038,027,240	1,019,487,152
	Accruals	115,140,242	103,282,798
	Import Duties and Related Other Payable	989,649,445	811,938,348
	Advance Received	1,237,255,313	361,649,492
	Unclaimed Dividend	403,033	602,223
	Contract Liabilities (Note 29.1)	21,595,615	13,033,540
	Unclaimed Wages	-	33,207
	Taxes Payable	172,545,759	188,255,978
	Other Liabilities (Note 29.2)	295,145,444	751,531,231
		<u>3,869,762,091</u>	<u>3,249,813,969</u>

29.1 Movement of Contract Liabilities

Balance at the beginning of the year	13,033,540	3,625,512
Charge for the year	8,562,075	9,408,028
Balance at the end of the year	<u>21,595,615</u>	<u>13,033,540</u>

Contract Liabilities represent the Free Service Provision as per SLFRS 15 - "Revenue Recognition from Customer Contracts.

29.2 Other Liabilities

Other Liabilities includes an estimated provision for Import VAT amounting to Rs. 266.43 Mn relating to Semi-Knock-Down (SKD) units imported under the Standard Operating Procedures (SOP) introduced for Automobile Manufacturing/Assembling Industry and Automobile Components Manufacturing Industry of Sri Lanka by Ministry of Industries.

As per the operational process, VAT becomes payable only upon completion of assembly and inspection by Ministry of Industries along with Sri Lanka Customs. As at the reporting date, the related Import VAT was provisionally estimated and recognized as part of other liabilities on remaining unassembled SKD units.

<i>As at 31st March</i>		2026	2025
		Rs.	Rs.
30	AMOUNTS DUE TO RELATED PARTY		
	Payable to Ashok Leyland Limited - India (Note 33.1)	2,606,524,202	408,780,680
		<u>2,606,524,202</u>	<u>408,780,680</u>
31	CURRENT TAX LIABILITIES		
	Balance at the beginning of the year	557,409,414	196,925,645
	Income Tax on Profit for the year (Note 11.2)	1,243,008,329	612,140,594
	Under Provision of Current Tax in Respect of Previous years	3,081,128	-
	Tax Paid during the year	(785,490,496)	(245,427,181)
	WHT Recoverable	(18,990,306)	(6,229,644)
	Balance at the end of the year	<u>999,018,069</u>	<u>557,409,414</u>
32	PROVISION FOR WARRANTY		
	Balance at the beginning of the year	17,053,305	9,773,122
	(Reversal)/Provision for the year	(2,660,216)	7,280,183
	Balance at the end of the year	<u>14,393,089</u>	<u>17,053,305</u>

Provision for warranties relates mainly to vehicles sold during the last six months of the financial year. The provision is based on estimates made from historical warranty data associated with similar products and services. The Company expects to settle the majority of the liability over the next year.

33 RELATED PARTY DISCLOSURE

33.1 Related Party Transactions

The Company carries out transactions with parties who are defined as related parties by LKAS 24 "Related Party disclosures", the details of which are reported below. The transactions were carried out in the ordinary course of the business and arms length in nature.

Name of Related Party & Relationship	Name of the Director	Position	Nature of Transaction	2026 Rs.	2025 Rs.
a) Transactions with Lanka Leyland (Pvt) Limited					
Lanka Leyland (Pvt) Limited Holds 41.77% of the Share Capital of the Company.	Mr. A A M Amarasinghe	Chairman of Lanka Leyland (Pvt) Limited	Dividend Payment to Lanka Leyland (Pvt) Limited	30,250,000	22,687,500
	Mr. M K L Jayawardena	Director of Lanka Leyland (Pvt) Limited			
b) Transactions and Outstanding Balance with Ashok Leyland - India - Recurring Transactions - Trading Nature					
Ashok Leyland Limited -India Holds 27.85 % of share capital of the Company by virtue of the joint venture agreement with Lanka Leyland Limited	Mr.Gopal Mahadevan	Director of Ashok Leyland Limited - India	<u>Payable to Ashok Leyland India</u>	408,780,680	1,655,721,179
			Opening Balance as at 01 st April (Including Import Bills Payable on GIT)		
			Purchase of Semi-Knock-Down (SKD) Chassis kits and Motor Vehicle	9,708,034,991	5,252,846,676
	Mr. Amandeep Singh Arora	Head of International Operations of Ashok Leyland Limited - India	Purchase of Spare Parts / Power Generators	1,024,702,645	357,729,179
			Usage Charges for ERP System	4,477,961	4,303,410
			Exchange Gain	(112,636,717)	(38,349,217)
			Settlement of Purchases	(8,426,835,358)	(6,823,470,547)
			Closing Balance as at 31 st March (Including Import Bills Payable on GIT)	2,606,524,202	408,780,680
			<u>Receivable from Ashok Leyland India</u>		
			Opening Balance as at 01 st April	28,081,100	212,257,006
			Local agency commission (LAC) on Direct Supply of Vehicles	-	3,292,410
			Payment Received	-	(184,373,824)
			Exchange Loss	1,918,064	(3,094,492)
			Closing Balance as at 31 st March	29,999,164	28,081,100
			Dividend Payment to Ashok Leyland Limited - India	20,166,640	15,124,980

33 RELATED PARTY DISCLOSURE (CONTD.)

33.1 Related Party Transactions (Contd.)

b) Transactions and Outstanding Balance with Ashok Leyland - India - Recurring Transactions - Trading Nature (Contd.)

Aggregate Value of Related Party Transactions During the Year

10,757,382,237 5,633,296,655

Aggregate Value of Related Party Transactions as a % of Net Revenue

119.48% 104.24%

c) Transactions and Outstanding balances with Government of Sri Lanka and its related entities

Since the Government of Sri Lanka holds the ownership of Lanka Leyland Limited, the Government of Sri Lanka and all the entities controlled or significantly influenced by the Government of Sri Lanka are considered as related parties according to LKAS 24, Related Party Disclosures.

The Company enters into transactions, arrangements and agreements with the Government of Sri Lanka and its related entities and summary of significant transactions are reported below;

Name of Related Party	Nature of Transaction	Description	2026 Rs.	2025 Rs.
<i>i) Non-Recurring Transaction - Trading Nature</i>				
Sri Lanka Transport Board	Supply of Vehicles on Finance Lease Terms	Balance as at 01 st April	9,401,572	431,722,572
		Payment Received during the year	-	(422,321,000)
		Balance Receivable as at 31 st March	9,401,572	9,401,572
		Total Future Rentals Receivable as at 31 March	9,401,572	9,401,572
<i>ii) Recurring Transaction - Trading Nature</i>				
Sri Lanka Transport Board	Sale of Vehicles / Spare Parts and Repair / Hiring services provided under Payment on Delivery Term	Balance as at 01 st April	172,938,064	219,195,968
		Sale of Vehicles, Spares Parts and Gen Sets and Services Rendered	628,801,818	618,744,997
		Hiring and Other Services Rendered during the year	1,239,515,813	985,534,653
		Payment Received during the year	(1,660,097,854)	(1,650,537,554)
		Balance Receivable as at 31 st March	381,157,841	172,938,064
		Aggregate Value of Related Party Transactions during the Year	1,868,317,631	1,604,279,650
Aggregate Value of Related Party Transactions as a % of Net Revenue	- Sri Lanka Transport Board	20.75%	29.68%	

LANKA ASHOK LEYLAND PLC
NOTES TO THE FINANCIAL STATEMENTS

33 RELATED PARTY DISCLOSURE (CONTD.)

33.1 Related Party Transactions (Contd.)

c) Transactions and Outstanding balances with Government of Sri Lanka and its related entities (Contd.)

ii) Recurring Transaction - Trading Nature (Contd.)

Name of Related Party	Nature of Transaction	Description	2026 Rs.	2025 Rs.
Other Government Related Entities	Sale of Vehicles / Spare Parts and Repair services provided under Payment on Delivery Term	Balance as at 01 st April	36,903,735	78,110,590
		Sale of Vehicles, Spares Parts and Gen Sets and Services Rendered	945,522,732	229,247,766
		Payment Received	(683,813,218)	(270,454,621)
		Balance Receivable as at 31 st March	298,613,249	36,903,735
Bank of Ceylon	Finance Provided to Lanka Ashok Leyland PLC's Customers	Balance as at 01 st April	9,800,000	8,000,000
		Finance Provided during the year	443,691,315	155,664,800
		Payment Received for the Sale of Vehicles	(437,087,900)	(153,864,800)
		Balance Receivable as at 31 st March	16,403,415	9,800,000
People's Leasing & Finance PLC	Finance Provided to Lanka Ashok Leyland PLC's Customers	Balance as at 01 st April	4,080,000	-
		Finance Provided during the year	848,510,998	226,085,400
		Payment Received for the Sale of Vehicles	(845,696,100)	(222,005,400)
		Balance Receivable as at 31 st March	6,894,898	4,080,000
Aggregate Value of Related Party Transactions During the Year				
	- Bank of Ceylon		443,691,315	155,664,800
	- People's Leasing & Finance PLC		848,510,998	226,085,400
Aggregate Value of Related Party Transactions as a % of Net Revenue				
	- Bank of Ceylon		4.93%	2.88%
	- People's Leasing & Finance PLC		9.42%	4.18%
Other Government Financial Institutions	Finance Provided to Lanka Ashok Leyland PLC's Customers	Balance as at 01 st April	3,138,800	-
		Finance Provided during the year	46,256,910	17,543,800
		Payment Received for the Sale of Vehicles	(49,395,710)	(14,405,000)
		Balance Receivable as at 31 st March	-	3,138,800
Total Receivable from Government Financial Institutions			23,298,313	17,018,800
Total Related Party Receivable as at 31 st March			733,068,567	254,941,699

33 RELATED PARTY DISCLOSURE (CONTD.)

33.1 Related Party Transactions (Contd.)

c) Transactions and Outstanding balances with Government of Sri Lanka and its related entities (Contd.)

ii) Recurring Transaction - Trading Nature (Contd.)

Sri Lanka Transport Board	Dividend Payment to Sri Lanka Transport Board	Payment during the year	625,000	468,750
Customs of Sri Lanka	Import Duty and Taxes	Balance as at 01 st April	719,792,488	117,836,800
		Taxes and Duty Charge for the Year	3,556,002,099	1,637,839,838
		Payment Made	(3,510,794,587)	(1,035,884,150)
		Balance Payable as at 31 st March	765,000,000	719,792,488
<i>Aggregate Value of Related Party Transactions During the Year - Custom of Sri Lanka</i>			3,556,002,099	1,637,839,838
<i>Aggregate Value of Related Party Transactions as a % of Net Revenue - Custom of Sri Lanka</i>			39.50%	30.31%
Other Government Institutions	Statutory, Utility and Other Payments made to Government Institutions	Balance as at 01 st April	668,321,314	150,732,146
		Taxes, Other Statutory Expenses and Utility Expenses	2,132,624,838	1,473,809,472
		Payment Made	(1,772,798,361)	(956,220,304)
		Balance Payable as at 31 st March	1,028,147,791	668,321,314

The aforementioned payable balances to Customs of Sri Lanka and Other Government Institutions have been classified under Trade and Other Payable in Note 29, as well as Current Tax Liability in Note 31.

d) Movement for Impairment Provision Recognized on Related Parties

For the Year Ended 31st March 2026

	Balance as at 01 st April 2025 Rs.	Impairment Reversal Rs.	Balance as at 31 st March 2026 Rs.
Sri Lanka Transport Board	141,645,077	(73,432,076)	68,213,001
Other Government Related Entities - Trade Receivables	10,878,309	15,885,779	26,764,088
	152,523,386	(57,546,297)	94,977,089

For the Year Ended 31st March 2025

	Balance as at 01 st April 2024 Rs.	Impairment Reversal Rs.	Balance as at 31 st March 2025 Rs.
Sri Lanka Transport Board	244,718,325	(103,073,248)	141,645,077
Other Government Related Entities - Trade Receivables	15,301,916	(4,423,607)	10,878,309
	260,020,241	(107,496,855)	152,523,386

Above impairment amounts recorded under impairment of Rental Receivable from Trade Debtors and Impairment of Trade Receivables in Note 19.3 and 22.2 respectively.

33 RELATED PARTY DISCLOSURE (CONTD.)

33.1 Related Party Transactions (Contd.)

As At 31st March

e) Open Advances - by Government of Sri Lanka and its related entities

Sri Lanka Transport Board
Other Government related entities

2026 Rs.	2025 Rs.
26,284,950	19,103,473
16,094,303	5,955,803
<u>42,379,253</u>	<u>25,059,276</u>

f) Open Advances - with Government of Sri Lanka and its related entities

Ceylon Electricity Board

637,500	637,500
<u>637,500</u>	<u>637,500</u>

33.2 Terms and conditions of Related Party Transactions

The terms and conditions of the transactions with related entities were no more favorable than those available, or which might reasonably be expected to be available, on similar transactions to non related entities on an arm's length basis. The supplies on lease terms are no more favorable than those available for ordinary finance lease transactions.

33.3 Non Recurrent Related Party Transactions

There were no non- recurrent related party transactions that exceeded the thresholds that required the immediate market disclosure or shareholder approval as required under Section 9.14 of the Continuing Listing Requirements of the Colombo Stock Exchange.

33.4 Recurrent Related Party Transactions

There were instances where aggregated recurrent related party transactions exceeded the threshold which required the disclosure in Financial Statements as per Section 9.14 of the Listing Requirements of the Colombo Stock Exchange. Accordingly, the required disclosure is given in note 33 to the Financial Statements

There were no other recurrent related party transactions which exceeded the threshold stipulated in section 9.14 of the listing requirements, other than individual transaction disclosed in the note 33.1 to the Financial Statements.

33 RELATED PARTY DISCLOSURE (CONTD.)

33.5 Compensation of Key Management Personnel

According to LKAS 24 "Related Party Disclosures", Key Management Personnel, are those planning, directing and controlling the activities of the entity.

Key Management Personnel include members of the Board of Directors and the Chief Executive Officer of the Company, total amounts paid as salaries and reimbursement of expenses amounts to Rs. 51,315,704/- (2024/25 - Rs. 36,397,127/-).

There were no compensation paid to Key Management Personnel during the year other than those disclosed below.

<i>For the Year Ended 31st March</i>	2026	2025
	Rs.	Rs.
Key Management Personnel Payments		
a. Short Term Employee Benefits	49,050,029	34,509,663
b. Post-Employment Benefits	2,265,675	1,887,464
c. Termination Benefits	-	-
d. Share-Based Payments	-	-
	51,315,704	36,397,127

33.6 Transactions, Arrangements and Agreements Involving KMP and Their Close Family Members (CFM)

CFM of a KMP are those family members who may be expected to influence, or be influenced by, that individual in their dealings with the entity. They may include;

- (a) the individual's domestic partner and children;
- (b) children of the individual's domestic partner; and
- (c) dependents of the individual or the individual's domestic partner

CFM are related parties to the entity. There were no transactions with CFM during the year.

33.7 Loans to Directors

No loans have been given to the Directors of the Company.

33.8 Terms and Conditions of the Transactions with KMPs

The terms and conditions of the transactions with Key Management Personnel and their related entities were no more favorable than those available, or which might reasonably be expected to be available, on similar transactions to non Key Management Personnel related entities.

34 COMMITMENTS

Letter of credits, affected and documents on acceptance for foreign purchases amounted to Rs. 2,472.11 Mn. (2024/25 - Rs. 744.97 Mn.)

35 CAPITAL COMMITMENTS

There were no material capital expenditure approved by the Board of Directors as at 31st March 2026.

36 CONTINGENT LIABILITIES

There were no material Contingent Liabilities, which require adjustments to or disclosures in the Financial Statements as at 31st March 2026.

37 LITIGATIONS AND CLAIMS

Based on the available information, the Management is of the view that there are no material litigation or claims that could have material impact on the financial position on the Company. Accordingly, no provision has been made for legal claims in the Financial Statements.

38 EVENTS AFTER REPORTING PERIOD

There were no other material events occurring after the reporting period that requires adjustments to or disclosure in the Financial Statements other than disclosed below;

After satisfying the Solvency Test in accordance with Section 57 of the Companies Act, No. 07 of 2007, the Directors recommend the payment of first and final dividend of Rs. 30/- per share (300% - Dividend as a percentage of par value) amounting to Rs. 108,625,290/- for the year ended 31st March 2026 (2024/25- Rs. 20/- per share [200% - Dividend as a percentage of par value]) amounting to Rs. 72,416,860/-), which will be declared at the Annual General Meeting to be held on 14th August 2026.

In accordance with LKAS 10, "Events after the reporting period" this proposed first and final dividend has not been recognized as a liability as at 31st March 2026. Subsequent to the reporting period, no circumstance has arisen which would require adjustments to or disclosure in the Financial Statements, other than the above.

39 SEGMENTAL REPORTING

There are no distinguishable components of the business defined as segments and all operations are treated as one segment.

40 NUMBER OF EMPLOYEES

The number of employees as of year end was as follows;

<i>As At 31st March</i>	2026	2025
Executives	109	85
Non Executives	198	189
	307	274

41 COMPARATIVE INFORMATION

The Company has consistently applied the accounting policies with those adopted in the previous financial year. The presentation and classification of the financial statements of the previous period have been adjusted, where relevant, for better presentation, including a reclassification during 2026 of the Depreciation on Motor Vehicles, Plant & Machinery and Factory Equipment from 'Administrative Expense' to 'Cost of Sales' to better reflect the nature of the expense. Accordingly, Rs. 147,046,750/- was reclassified in the comparative figures for the year ended 31st March 2025.

LANKA ASHOK LEYLAND PLC
NOTES TO THE FINANCIAL STATEMENTS

42 FINANCIAL INSTRUMENTS - FAIR VALUES

42.1 Accounting Classifications and Fair Values

The following table shows the carrying amounts and fair values of financial assets and financial liabilities, including their levels in the fair value hierarchy. It does not include fair value information for financial assets and financial liabilities not measured at fair value if the carrying amount is a reasonable approximation of fair value.

As at 31st March 2026

As at 31 st March 2026	Carrying Amount				Fair Value			
	Fair Value	Financial Assets at Amortised Cost	Other Financial Liabilities	Total	Level 1	Level 2	Level 3	Total
	FVTPL							
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Financial Assets Measured at Fair Value								
Investment in Equity Securities	360,378	-	-	360,378	360,378	-	-	360,378
	360,378	-	-	360,378	360,378	-	-	360,378
Financial Assets not Measured at Fair Value								
Refundable Security Deposit	-	137,286,037		137,286,037	-	-	-	-
Investment in Debentures		50,251,483		50,251,483				
Rental Receivable from Trade Debtors	-	653,556,752	-	653,556,752	-	-	-	-
Trade Receivable	-	1,465,684,756	-	1,465,684,756	-	-	-	-
Cash & Cash Equivalents	-	4,183,254,479	-	4,183,254,479	-	-	-	-
	-	6,490,033,507	-	6,490,033,507	-	-	-	-
Financial Liabilities Not Measured at Fair Value								
Trade Payable	-	-	1,038,027,240	1,038,027,240	-	-	-	-
Amounts due to Related Parties	-	-	2,606,524,202	2,606,524,202	-	-	-	-
Lease Liabilities	-	-	73,820,125	73,820,125	-	-	-	-
Bank Overdrafts	-	-	48,306,854	48,306,854	-	-	-	-
	-	-	3,766,678,421	3,766,678,421	-	-	-	-

As at 31st March 2025

As at 31st March 2025

	Carrying Amount				Fair Value			
	Fair Value	Financial Assets at Amortised Cost	Other Financial Liabilities	Total	Level 1	Level 2	Level 3	Total
	FVTPL							
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Financial Assets measured at Fair Value								
Investment in Equity Securities	236,633	-	-	236,633	236,633	-	-	236,633
	236,633	-	-	236,633	236,633	-	-	236,633
Financial Assets not measured at Fair Value								
Refundable Security Deposit	-	123,960,304	-	123,960,304	-	-	-	-
Rental Receivable from Trade Debtors	-	261,760,774	-	261,760,774	-	-	-	-
Trade Receivable	-	465,142,473	-	465,142,473	-	-	-	-
Cash & Cash Equivalents	-	617,322,158	-	617,322,158	-	-	-	-
	-	1,468,185,709	-	1,468,185,709	-	-	-	-
Financial Liabilities not measured at Fair Value								
Trade Payable	-	-	1,019,487,152	1,019,487,152	-	-	-	-
Amounts due to Related Parties	-	-	408,780,680	408,780,680	-	-	-	-
Lease Liabilities	-	-	79,556,661	79,556,661	-	-	-	-
Bank Overdrafts	-	-	15,707,510	15,707,510	-	-	-	-
	-	-	1,523,532,003	1,523,532,003	-	-	-	-

Transfer between levels

There were no transfers between Level 1, 2 and 3 during the year.

43 FINANCIAL RISK MANAGEMENT

Overview

The Company has exposure to the following risks arising from financial instruments;

- Credit Risk
- Liquidity Risk
- Market Risk
- Operational Risk

This note presents information about the Company's exposure to each of the above risks, and the Company's objectives, policies and processes of measuring and managing risk.

Risk Management Framework

The Board of Directors has overall responsibility for the establishment and oversight of the Company's risk management framework.

The Company Audit Committee oversees how management monitors compliance with the Company's risk management policies and procedures, and reviews the adequacy of the risk management framework in relation to the risks faced by the Company. The Company Audit Committee is assisted in its oversight role by internal audit. Internal audit undertakes both regular and adhoc reviews of risk management controls and procedures, the results of which are reported to the Audit Committee.

Credit Risk

Credit risk is the risk of financial loss to the Company if a customer or counterparty to a financial instrument fails to meet its contractual obligations, and arises principally from the Company's receivables from customers.

Exposure to Credit Risk

The net carrying amount of financial assets represents the maximum credit exposure. The maximum exposure to credit risk as at the reporting date was as follows;

As At 31st March

	2026 Rs.	2025 Rs.
Trade Receivables	1,465,684,756	465,142,473
Rental Receivable from Trade Debtors	653,556,752	261,760,774
Refundable Security Deposit	137,286,037	123,960,304
Investment in Debentures	50,251,483	-
Cash at Banks and Short Term Investments in Banks	4,135,854,894	580,865,922
Total	6,442,633,922	1,431,729,473

Trade and Other Receivables

The Company's exposure to credit risk is influenced mainly by the individual characteristics of the customers. However, management also considers the demographics of the Company's customer base, including the default risk of the industry as these factors may have an influence on credit risk. During 2025/26, approximately 5.6% (2024/25 : 5.2%) of the Company's revenue was attributable to sales transactions with the largest single customer.

The Company establishes an allowance for impairment that represents its estimate of impaired losses in respect of trade receivables. The main components of this allowance are determined based on historical data of payment statistics of similar financial assets.

43 FINANCIAL RISK MANAGEMENT (CONTD.)

Trade and Other Receivables (Contd.)

The maturity analysis of Rental Receivable from Trade Debtors is given in Note 19.5 and 19.6. The aging of trade receivables net of impairment as at 31st March was as follows;

As at 31st March 2026

	0 - 60 Days Rs.	61 - 90 Days Rs.	91 - 120 Days Rs.	121 - 180 Days Rs.	More than 180 Days Rs.	Total Rs.
Trade Receivables (Gross)	1,001,256,663	200,983,274	72,419,164	61,616,699	272,464,637	1,608,740,437
Impairment	(16,175,196)	(16,860,522)	(4,307,154)	(9,549,850)	(96,162,959)	(143,055,681)
Trade Receivables (Net)	<u>985,081,467</u>	<u>184,122,752</u>	<u>68,112,010</u>	<u>52,066,849</u>	<u>176,301,678</u>	<u>1,465,684,756</u>

As at 31st March 2025

	0 - 60 Days Rs.	61 - 90 Days Rs.	91 - 120 Days Rs.	121 - 180 Days Rs.	More than 180 Days Rs.	Total Rs.
Trade Receivables (Gross)	463,898,332	12,702,288	14,423,733	16,485,325	120,665,565	628,175,243
Impairment	(61,636,464)	(3,930,641)	(1,710,473)	(5,604,269)	(90,150,923)	(163,032,770)
Trade Receivables (Net)	<u>402,261,868</u>	<u>8,771,647</u>	<u>12,713,260</u>	<u>10,881,056</u>	<u>30,514,642</u>	<u>465,142,473</u>

The maximum exposure to credit risk for rental receivable from trade debtors by type of counterparty is given in Note 19.4. The maximum exposure to credit risk for trade receivable by type of counterparty was as follows;

As at 31st March

	Carrying Amount	
	2026 Rs.	2025 Rs.
Government Entities	617,492,750	83,738,764
Corporates and Other Institutions	757,095,528	364,280,420
End-user Customers	91,096,478	17,123,289
	<u>1,465,684,756</u>	<u>465,142,473</u>

The movement in the allowance for impairment in respect of trade and lease rental receivables during the year was as follows;

As at 31st March 2026

	Individual Impairment Rs.	Collective Impairment Rs.	Total Impairment Rs.
Balance as at 01 st April 2025	153,566,570	37,267,541	190,834,111
Reversal for the year	(129,648,071)	109,606,952	(20,041,119)
Balance as at 31 st March 2026	<u>23,918,499</u>	<u>146,874,493</u>	<u>170,792,992</u>

As at 31st March 2025

	Individual Impairment Rs.	Collective Impairment Rs.	Total Impairment Rs.
Balance as at 01 st April 2024	258,940,094	44,661,908	303,602,002
Reversal for the year	(105,373,524)	(7,394,367)	(112,767,891)
Balance as at 31 st March 2025	<u>153,566,570</u>	<u>37,267,541</u>	<u>190,834,111</u>

43 FINANCIAL RISK MANAGEMENT (CONTD.)

Cash at Banks

The Company held cash at banks of Rs. 4,104.23 Mn. as at 31st March 2026 (2024/25: Rs. 580.87 Mn.), which represents its maximum credit exposure on these assets. Respective credit ratings of banks with Company cash balances held are as follows;

		Cash at Bank	
As at 31 st March		2026	2025
Bank	Credit Rate	Rs.	Rs.
Bank of Ceylon	AA- (lka)	459,367,024	2,300,000
Cargills Bank	A (lka)	407,785,264	159,082,130
Commercial Bank of Ceylon PLC	AA- (lka)	1,898,384,617	318,002,205
Indian Bank	BB+	384,200,852	101,386,307
People's Bank	AA- (lka)	35,800	70,280
Sampath Bank	AA- (lka)	657,207	-
Seylan Bank PLC	A+ (lka)	953,797,603	25,000
State Bank of India	BBB- (lka)	4,933	-
		4,104,233,300	580,865,922

Liquidity Risk

Liquidity risk is the risk of facing difficulty in meeting the obligations associated with its financial liabilities that are settled by delivering cash or another financial asset. The Company's approach to managing liquidity is to ensure, as far as possible, that it will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or affecting the Company's reputation.

The Company also monitors the level of expected cash inflows from trade and other receivables together with expected cash outflows on trade and other payables. In addition, the Company maintains Rs. 201.9 Mn overdraft facility that is secured. Interest would be payable at the market rate.

The following are the contractual maturities of financial liabilities at its Carrying Value;

As at 31st March 2026

	Carrying Amount Rs.	Contractual Cash Flows			
		Total Rs.	0 - 30 Days Rs.	31 - 90 Days Rs.	More than 90 Days Rs.
Trade Payables	1,038,027,240	1,038,027,240	273,233,032	633,514,731	131,279,477
Amounts due to Related Party	2,606,524,202	2,606,524,202	2,606,524,202	-	-
Lease Liability	73,820,125	82,992,396	645,000	1,290,000	81,057,396
Bank Overdrafts	48,306,854	48,306,854	48,306,854	-	-
Total	3,766,678,421	3,775,850,692	2,928,709,088	634,804,731	212,336,873

As at 31st March 2025

	Carrying Amount Rs.	Contractual Cash Flows			
		Total Rs.	0 - 30 Days Rs.	31 - 90 Days Rs.	More than 90 Days Rs.
Trade Payables	1,019,487,152	1,019,487,152	338,933,189	549,274,486	131,279,477
Amounts due to Related Party	408,780,680	408,780,680	-	408,780,680	-
Lease Liability	79,556,661	91,541,996	1,635,000	25,916,000	63,990,996
Bank Overdrafts	15,707,510	15,707,510	15,707,510	-	-
Total	1,523,532,003	1,535,517,338	356,275,699	983,971,166	195,270,473

Market Risk

Market risk is the risk that changes in market prices, such as foreign exchange rates, interest rates and equity prices that will affect the Company's income or the value of its financial instruments. The management conduct periodic reviews on the Company's pricing & pricing policy in order to mitigate the market risk. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimizing the return.

43 FINANCIAL RISK MANAGEMENT (Contd.)

Foreign Currency Risk

The Company is exposed to currency risk mainly on payable for purchases that are denominated in US Dollars. The Management closely monitors the exchange rate movement, for necessary action.

The Financial Instruments denominated in US Dollars as on 31st March are;

As At 31st March

	2026			2025		
	LKR	Exchange Rate	US \$	LKR	Exchange Rate	US \$
Payable to Ashok Leyland Limited - India	2,606,524,202	319.31	8,162,990	408,780,680	300.58	1,359,973
	<u>2,606,524,202</u>		<u>8,162,990</u>	<u>408,780,680</u>		<u>1,359,973</u>

The Company carefully monitored the implications and took preventive measures to early settle the liabilities when ever possible.

Sensitivity Analysis

A reasonably possible strengthening/ (weakening) of the Sri Lankan rupees against US dollar at the year end would have affected the measurement of financial liabilities denominated in a foreign currency and affected profit before tax by the amounts shown below. This analysis assumes that all other variables, in particular interest rates, remain constant and ignores any impact on forecasted purchases.

The following details the Company's sensitivity movement in the foreign currencies. The foreign exchange rate sensitivity is calculated for each currency by aggregation of the net foreign exchange rate exposure of a currency and a simultaneous parallel foreign exchange rates shift in the foreign exchange rates of each currency by 5%. 5% represents management's assessment of the reasonably possible change in foreign exchange rates. The sensitivity analysis includes only outstanding foreign currency denominated monetary items and adjusts their translation at the period end for a 5% change in foreign currency rates.

	Profit before Tax	
	Strengthening	Weakening
<u>2025-26</u>		
LKR (5% movement)	130,326,210	(130,326,210)
<u>2024-25</u>		
LKR (5% movement)	20,439,034	(20,439,034)

Interest Rate Risk

Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate due to changes in market interest rates. The Company's exposure to interest rate risk mainly arises from its interest-bearing financial assets, including fixed deposits and other short-term investments placed with licensed financial institutions.

The Company does not have any interest-bearing borrowings as at the reporting date. Accordingly, the Company is not exposed to significant cash flow interest rate risk arising from borrowings. Management continuously monitors market interest rates to ensure optimal returns on surplus funds while maintaining adequate liquidity and minimizing risk exposure.

Exposure to Interest Rate Risk

The interest rate profile of the Company's interest-bearing financial instruments is given in Note 24.4 to the Financial Statements.

43 FINANCIAL RISK MANAGEMENT (Contd.)

Capital Management

The Company's policy is to maintain a strong capital base so as to maintain investor, creditor and market confidence and to sustain future development of the business. Board of Directors of the Company monitors the return on capital, as well as the level of dividends to ordinary shareholders.

Company's debt to equity ratio at 31st March was as follows;

<i>As at 31st March</i>	2026 Rs.	2025 Rs.
Bank Overdrafts	48,306,854	15,707,510
Total Equity	8,976,926,344	6,038,510,051
Equity and Debt	9,025,233,198	6,054,217,561
Gearing Ratio	0.5%	0.3%